
UNIT 1 JOB SATISFACTION

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1.0 INTRODUCTION

Job satisfaction is the degree to which individuals like their jobs. Some people enjoy work and find it to be a central part of life. Others hate to work and do so only because they must. This job attitude has been the subject of extensive research in the domain of industrial-organisational psychology and organisational behaviour. A thorough account of the meaning, causes and consequences of this important employee attitude will be presented in this unit. First, the nature of job satisfaction will be discussed highlighting its historical antecedents, meaning and dimensions. Second, some major assessment techniques will be discussed. Third, an account of the antecedents or predictors of job satisfaction will be put forth. Finally, the outcomes of job satisfaction will be examined.

1.1 OBJECTIVES

After reading this unit, you will be able to:

- Explain the meaning of job satisfaction;
- Describe the various measures of job satisfaction;
- Give an account of the antecedents of job satisfaction; and
- Analyse the consequences of job satisfaction.

1.2 NATURE OF JOB SATISFACTION

Job satisfaction is the most frequently measured organisational variable in both research and applied settings. There are multiple reasons for interest in this work attitude. First, organisations and researchers are interested in simply assessing the current state of employee job satisfaction. They are often concerned with employee well-being and psychological health, and some form of job satisfaction measurement is therefore included in employee opinion surveys. Second, understanding the influences on job satisfaction is important for improving organisational functioning. Significant lines of research have therefore focused on the role of personal, work-related and organisational variables in job satisfaction. Third, job satisfaction has important implications for work outcomes within an organisation. Interest has thus been in the empirical examination of job satisfaction and its relationship with such outcomes as performance, withdrawal behaviours, organisational citizenship behaviours and other work behaviours.

1.2.1 History of Job Satisfaction

For almost one hundred years, employee job satisfaction has been targeted by research. The origin of these studies dates back to at least 1911, when Taylor began to study employees and their job duties to develop better ways to train workers. By 1927, the study of employee's positive or negative reaction to their jobs had fully begun to take hold when Elton Mayo first studied the effect of lighting at the Western Electric Hawthorne Works in Chicago. These studies showed that lighting had little connection to worker productivity, creating the fundamental groundwork for future studies that asked about other factors that may have an impact on employees. The Hawthorne Studies continued until 1932, and in the five-year interval, the research widened to include factors such as temperature, fatigue, breaks, and working hours. Mayo's work may seem marginally relevant to job satisfaction today, but he discovered that the mere act of studying workers and providing them with more attention increased their motivation and productivity. Mayo had stumbled upon the essence of human motivation, marking a new era of humanistic job satisfaction research, and revolutionising the research and theories of job satisfaction.

1.2.2 Meaning of Job Satisfaction

In the past hundred years, job satisfaction has been given various definitions by organisational behaviour scholars and researchers. The most-used research definition of job satisfaction is by Locke (1976), who defined it as "a pleasurable or positive emotional state resulting from the appraisal of one's job or job experiences". Cook et al. (1981) defined job satisfaction as "an attitude which manifests itself in evaluation of the job and of the employing organisation as contributing suitably to the attainment of one's personal objectives". More recently, Lambert, Barton, and Hogan (1999) defined the term as "the fulfillment or gratification of certain needs that are associated with one's work." Spector (1997) defines it as "the extent to which people like (satisfaction) or dislike (dissatisfaction) their jobs".

Some important characteristics emerge out of these definitions:

- 1) Job satisfaction is an emotional response to a job situation. As such it cannot be seen, it can only be inferred.

- 2) Job satisfaction is the extent to which the working environment meets the needs and expectations of employees. It is a result of employees' perception of how well their job provides outcomes that are viewed as important.
- 3) Job satisfaction is an evaluation of the job and of the organisation that shows up in significant work behaviours such as productivity, absenteeism, turnover, workplace deviance, organisational citizenship and so forth.

Job satisfaction can thus be understood as an important job attitude. As an attitude, it has three elements: affective, cognitive and behavioural. The affective component is the emotional response to the job situation and is reflected in the statement "I feel good about my job". The cognitive element is the appraisal on the extent to which the job fulfills important needs associated with one's work. It is illustrated in the statement "My job helps me to achieve my goals". The behavioural component is the intention to engage in specific behaviours as manifested in productivity, absenteeism, turnover and forms of organisational citizenship. It is reflected in the statement "I want to give my best on the job".

Although viewing job satisfaction as made of three components is helpful in understanding its complexity, the term as it is generally used, essentially refers to the affect part of the three components. Thus the statement "I like my job" best exemplifies job satisfaction and signifies that it is primarily an individual's affective reaction to a particular job that results from the person's comparison of actual outcomes with those that are desired, anticipated, or deserved.

1.2.3 Global and Facet Satisfaction

Researchers and practitioners are often interested in studying global job satisfaction to assess an overall state of employee morale. However, examination of facet conditions is also considered useful for a critical understanding of employee satisfaction. Thus job satisfaction can be considered as either global or facet satisfaction.

Global satisfaction is defined as a general feeling that individuals hold about their job. It is an overall affective reaction based on all characteristics of the job and the work environment. Facet satisfaction, on the other hand, is defined as the feelings about or affective responses to particular job aspects. It is a constellation of attitudes about various facets of a job. Smith, Kendall and Hulin (1969) have suggested that facet satisfaction is reflected in five characteristics of a job:

- 1) *The work itself*: The extent to which the job provides the individual with interesting tasks, opportunities for learning, and the chance to accept responsibility.
- 2) *Pay*: The adequacy and perceived equity of financial remuneration.
- 3) *Promotion opportunities*: The chance for further advancements in the hierarchy.
- 4) *Supervision*: The abilities of the supervisor to provide technical assistance and behavioural support.
- 5) *Coworkers*: The degree to which fellow workers are technically proficient and socially supportive.

1.2.4 Extrinsic and Intrinsic Satisfaction

Overall job satisfaction is actually a combination of intrinsic and extrinsic job satisfaction. Intrinsic job satisfaction is seen when workers consider only *the kind of work they do*, the tasks that make up the job. Extrinsic job satisfaction is demonstrated when workers consider *the conditions of work*, such as their pay, coworkers, and supervisor.

The intrinsic elements of job satisfaction that arise from the nature of the work itself have been described in the literature as “motivators” (Herzberg et al., 1959). They include the specific nature of the work, recognition, achievement, and the possibility of growth, advancement, and responsibility. Herzberg suggested that the true job satisfaction derives from the factors intrinsic to the job. The extrinsic elements, on the other hand, have been described as “hygienes” (Herzberg et al., 1959) and are measured as extrinsic job satisfaction. They include salary, benefits, and institutional environment and they tend to influence job dissatisfaction.

1.3 MEASUREMENT OF JOB SATISFACTION

Measuring job satisfaction is difficult, for it is an abstract personal cognition that exists only in an individual’s mind. Nonetheless, numerous techniques to measure the construct have been devised that can be broadly classified as indirect and direct techniques. Indirect measurement of an employee’s job satisfaction can be obtained from data that a company regularly collects like absenteeism, turnover and theft rates. It can also be seen in terms of its relationships with other key factors, such as general well-being, psychological health, stress experienced at work and working conditions.

Direct measurement involves asking employees how satisfied they are with their job, through interviews or questionnaires. Most researchers opt for in-depth survey questionnaires as they are easily distributed, have less room for bias, have increased likelihood of confidentiality, and require much less time and money than one-on-one interviews. These questionnaires are usually based on the Likert technique wherein respondents are asked to indicate their response on a rating scale. Ratings on individual items are then summated to obtain a summary satisfaction score.

Using the summated rating technique, reliable and valid measures of both facet and global job satisfaction have been developed. Typical scales used for facet job satisfaction include:

- i) The Job Descriptive Index (JDI),
- ii) The Minnesota Satisfaction Questionnaire (MSQ) and
- iii) The Job Satisfaction Survey (JSS).

Measures used for assessing global satisfaction include:

- i) The Job Satisfaction Index (JSI) and
- ii) The Job in General Scale (JIGS).

The **Job Descriptive Index** (Smith, Kendall, & Hulin, 1969) has probably been the most popular facet scale among organisational researchers. It measures one’s satisfaction in five facets: pay, promotions and promotion opportunities,

coworkers, supervision, and the work itself. The scale contains 72 items with either 9 or 18 items per subscale. Each item is an evaluative adjective or short phrase that is descriptive of the job. Participants answer either yes, no, or can't decide (indicated by '?') in response to each item. A value is then calculated for each facet based upon a respondents' reply on the items for each facet. The JDI is considered the best choice when survey participants are not good readers or attempt to finish the questionnaire quickly.

The **Minnesota Satisfaction Questionnaire** (Weiss, Dawes, England, & Lofquist, 1967) is another satisfaction scale that has been very popular among researchers. It assesses employee's job satisfaction on 20 facets of work. Subjects are asked to indicate their level of satisfaction using a five-point scale for each item on the measure. The scale has two forms. The long form has 100 questions with five items from each facet and the short form has 20 questions with one item from each facet. Most researchers who use the short form combine all items into a single total score, or compute extrinsic and intrinsic satisfaction subscales from the subset of items.

The **Job Satisfaction Survey** (Spector, 1997) measures nine facets of job satisfaction, as well as overall satisfaction. The nine facets include: pay, promotion, supervision, fringe benefits, contingent rewards, operating conditions, coworkers, nature of work and communication. The scale contains 36 items and uses a summated rating scale format. Each of the nine face subscales contain four items, and a total satisfaction score can be computed all of the items.

The **Job Satisfaction Index** (Brayfield & Rothe, 1951) measures overall job satisfaction when all aspects of the job are considered. It consists of 18 items with responses ranging from 1 (strongly disagree) to 5 (strongly agree). Although several of these items have become obsolete because the BRI was established in 1951, the instrument still has been very reliable and correlates highly with other job satisfaction measures.

The **Job in General Scale** is an 18-item measure of global job satisfaction. It was developed in the early 1990's to provide an overall evaluation of how employees feel about their jobs, complementing the Job Descriptive Index diagnostics on specific facets of employee job satisfaction. It is more general, more evaluative, and uses a longer time perspective than the JDI. As a result, it has been found to consistently correlate more highly with such global measures as intention to leave, life satisfaction, identification with the work organisation, and trust in management.

Self Assessment Questions

- 1) Examine the significance of job satisfaction as an organisational variable.

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- 2) Discuss the historical antecedents to the study of job satisfaction.

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- 3) Explain the meaning of the concept of job satisfaction.

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- 4) Describe the important assessment techniques of job satisfaction.

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1.4 ANTECEDENTS OF JOB SATISFACTION

Various studies have examined the antecedents or predictors of job satisfaction. Two distinct models of job satisfaction are apparent in these studies. The first model focuses on personal characteristics such as age, years of service, gender, occupational rank, educational level, personality and cultural factors. The second model places emphasis on the individual's work situation including the nature of the work, pay, promotional opportunities, supervisor, work group and working conditions. The two sets of variables are discussed in the following sections.

1.4.1 Personal Characteristics

Age and years of experience – In general, research on age and tenure differences in job satisfaction suggest that older and more experienced workers are more satisfied with their jobs than are younger and less experienced workers (e.g., Wright and Hamilton, 1978; Janson and Martin, 1982). This relationship holds true for blue-collar and white-collar employees and for men and women. Several explanations have been put forward for this relationship. First, it is attributed to the more realistic job expectations of older employees owing to age and maturity. Second, it is reasoned that age and experience usually bring increased confidence, responsibility and sense of accomplishment thus contributing to higher levels of satisfaction. Third, there is an indication that older people may actually have “better” or more highly rewarded jobs.

Gender – Research evidence on gender differences in job satisfaction is inconsistent and contradictory. In general, women are paid less than men, their opportunities for promotion are fewer and they believe that they have to work harder than men to receive comparable rewards. These differences manifest in their satisfaction with their jobs. Thus gender relates to job satisfaction only to the extent that other factors vary with gender.

Occupational level – The level at which individuals work within an organisation has some influence on their satisfaction. In general, executives express more positive job attitudes than do first-line supervisors, who, in turn, are usually more satisfied than their subordinates are. Higher-level jobs offer greater opportunities for growth, challenge, autonomy and responsibility. Thus, employees' job satisfaction tends to increase with each level within the organisational hierarchy.

Education – Educational level is found to be related to job satisfaction. While some researchers have found positive relationships between education levels and job satisfaction, others have found a slight negative correlation, especially for higher levels of education. The explanation is that better-educated persons have higher expectations and believe that their work should provide greater responsibility and fulfillment. Many jobs however do not satisfy these expectations resulting in lower levels of satisfaction. However, evidence on this relationship is still inconclusive.

Personality – Research on positive and negative affectivity, the “Big Five” personality attributes and core self evaluations indicate that personality variables are related to job satisfaction and that they are partly heritable. Firstly, it has been shown that persons high in positive affectivity are happier in their work than those who are high on negative affectivity. While positive affectivity is described by high energy, enthusiasm and pleasurable engagement, negative affectivity is characterised by distress, unpleasurable engagement and nervousness (Heller, 2002). Secondly, evidence suggests that people high on extraversion, agreeableness and conscientiousness (dimensions of the “Big Five”) report higher levels of job satisfaction than those who are low on these dimensions. Finally, core self-evaluation (Judge & Bono, 2001; Judge, Locke, Durham, & Kluger, 1998) has been found to correlate with employee job satisfaction. Core self-evaluation has four facets: self - esteem, generalised self-efficacy, locus of control, and emotional stability (low neuroticism). Research evidence found that these personality factors measured in childhood showed a direct relationship to job satisfaction some 30 years later. Those scoring high on esteem and efficacy, low on neuroticism and having an internal locus of control, as measured in their childhood, showed significantly higher job satisfaction in their middle adult years.

Cultural factors – Cross-cultural research on job satisfaction suggests that employees in Western cultures have higher levels of job satisfaction than those in Eastern cultures. It is reasoned that individuals in Eastern cultures value negative emotions while those in Western cultures emphasise positive emotions and individual happiness. Evidence also indicates that among the Asian countries, employees in India are happier with their work environment, teamwork, supervision and training at the workplace.

1.4.2 Work Situation Characteristics

The work itself – Of all the major situational influences on job satisfaction, the nature of the work itself best predicts overall job satisfaction, as well as other important outcomes like employee retention (Judge & Church, 2000). When employees were asked to evaluate different facets of their job such as supervision, pay, promotion opportunities, co-workers, and so forth, the content of the work – including job challenge, autonomy, variety, and scope, together called as “intrinsic job characteristics” – emerged as the most important job facet. It was found that interesting and challenging work, work that is not boring and a job that provides status; were some of the most important ingredients of a satisfying job. Thomas & Tymon (1997) suggested that when employees feel their work is meaningful and that they are responsible for their outcomes, they show higher levels of effort and attention to doing tasks well. Similarly, Cappelli (2000) highlighted the importance of intrinsic rewards when participants rated interesting work, open communications, and opportunities for advancement as the top three things they desire in their jobs.

Pay – Wages and salaries represent a significant, but complex, multidimensional factor in job satisfaction. Employees often view pay as a reflection of how management view their contribution to the organisation and thus influences the satisfaction they derive from their job. However, more important than actual pay, it is the perceived equity or fairness of one’s pay that has been found to be related to job satisfaction. As long as people feel their pay is fair, they can express relatively high satisfaction with it, at least within broader limits.

Promotions – Promotional opportunities have a significant impact on job satisfaction. However, since promotions take on different forms, they seem to have a varying effect on job satisfaction. For example, individuals who are promoted on the basis of seniority often experience job satisfaction but not as much as those who are promoted on the basis of performance. Additionally, a promotion with a 10% salary rise is typically not as satisfying as one with a 20% salary rise. These differences help explain why executive promotions may be more satisfying than promotions that occur at the lower level of organisations.

Supervision – The nature of supervision provided can also have a significant impact on job satisfaction. Studies have shown that employees who have positive interactions with supervisors are generally more satisfied at work (Bruce and Blackburn, 1992). Positive interactions tend to include constructive feedback, effective communication, and a focus on quality rather than quantity (Schroffell, 1999). Positive supervisory relationships are also those that treat the employees with respect, that promote staff cohesion but allow for individual thinking, and that fulfill employee’s functional and interpersonal needs. Supervision is a complex variable however, and it is unrealistic to assume that job satisfaction can be guaranteed as long as supervisors interact positively with their employees. Individual personality characteristics may, for example, affect the employee’s needs and management expectations. For example, Schroffell (1999) suggests that employees who have more experience desire less supervision and employees with less experience prefer more supervision. Also, studies have shown that organisational setting can affect the employee’s desired supervisory relationship. In chaotic, ambiguous, or otherwise unstructured job settings, employees tend to prefer more structured supervision. Conversely, in jobs where tasks are clearly

defined and workers are well trained, a less structured supervisory style is preferred (House and Mitchell, 1974).

Work group – The importance of co-worker social support has been investigated for decades. As far back as the Hawthorne Studies of the 1920's, research has shown that workers who belong to a social group and have friendships on the job tend to be more satisfied (Maynard, 1986). Maynard suggests further that employees who lack social support at work experience more stress, have less coping techniques, and are generally less satisfied. Fellow employees can satisfy many social needs, and sympathetic and supportive co-workers can increase job satisfaction. Co-workers are also vital for evaluating the equity and fairness of one's pay and work requirements, and social needs studies have shown that co-worker job satisfaction can influence one's own job satisfaction.

Working conditions – Working conditions have a modest effect on job satisfaction. If the working conditions are good (e.g. clean, attractive surroundings), the employees will find it easier to carry out their jobs. If the working conditions are poor (e.g. hot, noisy surroundings), they will find it more difficult to get things done.

Self Assessment Questions

- 1) Examine the personal characteristics that influence job satisfaction.
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- 2) Discuss the importance of intrinsic work variables in job satisfaction.
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- 3) Describe the role of pay and promotions in promoting job satisfaction.
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- 4) Explain the influence of supervisor and co-workers on an employee's job satisfaction.
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1.5 OUTCOMES OF JOB SATISFACTION

The extent to which employees like or dislike their jobs has important consequences for workplace conduct. Feelings of satisfaction or dissatisfaction with one's job can be a predictor of productivity, organisational citizenship, withdrawal and other work behaviours. A useful theoretical model to organise and understand the consequences of job dissatisfaction is the exit-voice-loyalty-neglect (EVLN) model). The model identifies four ways in which employees respond to dissatisfaction:

- **Exit** – The exit response refers to leaving the organisation, transferring to another work unit or at least trying to make these exits.
- **Voice** – The voice response involves actively attempting to change, rather than escape from, dissatisfying conditions. It can be a constructive response, such as recommending ways for management to improve the situation, or it can be more confrontational, such as filing formal grievances. In the extreme, some employees might engage in counterproductive behaviours to get attention and force changes in the organisation.
- **Loyalty** – The loyalty response includes optimistically waiting for improvement and trusting the organisation and its management to resolve the problem.
- **Neglect** – The neglect response involves passively ignoring or withdrawing effort and allowing conditions to worsen. Chronic absenteeism and lateness, reduced work effort, reduced attention to quality and increased error rate are some of the neglect responses.

Of the four responses to dissatisfaction, the one that will be used by an employee depends on the availability of alternative employment, degree of organisational commitment, employee's personality and past experiences with the organisation. With poor job prospects and a high degree of commitment to the organisation, employees are less likely to use exit. Highly conscientious people are less likely to engage in neglect and more likely to use voice. Finally, employees who were unsuccessful with voice in the past are more likely to engage in exit or neglect when experiencing dissatisfaction in the future.

Although this framework is helpful in presenting the possible consequences of job satisfaction, it is quite general. More specific outcomes of job satisfaction and dissatisfaction will be discussed in the following sections.

1.5.1 Job Performance

The notion that a "happy worker is a productive worker" has long been examined by organisational behaviour researchers. Most of the early reviews of research literature suggested a weak relationship between job satisfaction and performance, with an average statistical correlation of only .17 across different occupations. However, in a more recent and comprehensive review of 301 studies, Judge, Thoresen, Bono, and Patton (2001) found that when the correlations are appropriately corrected (for sampling and measurement errors), the average correlation between job satisfaction and job performance is a higher .30. Thus, contrary to earlier reviews, it does appear that job satisfaction can predict performance though only to a moderate extent.

There are several factors that seem to weaken and modify the impact of job satisfaction on performance. First, the relationship between satisfaction and performance is moderated by job complexity, such that for high-complexity jobs, the correlation between satisfaction and performance is higher ($r=.52$) than for jobs of low to moderate complexity ($r=.29$). In less complex jobs like assembly line work, employees have little control over or opportunity for variations in performance. Because of these limits in job output, job satisfaction is not strongly related to performance. However, in complex jobs where employees have more freedom to perform their work, the job satisfaction-performance relationship is stronger.

Second, job satisfaction predicts performance only when performance is linked to valued rewards. If people receive valued rewards and perceive them to be equitable, they will be satisfied and this is likely to result in greater performance effort. However, because many organisations do not always reward good performance directly, the relationship between satisfaction and performance is not strong.

Third, there are many factors that determine performance such as working conditions, task structure, previous experience, task abilities, requisite skills etc. In many cases, the effects of these factors may be more important than job satisfaction in predicting performance. For instance, even when employees love their jobs, if they lack specific skills to perform a task at hand, they won't be able to do their best work.

Fourth, recent evidence indicates that satisfaction may not necessarily reflect in individual performance improvement as measured by standard forms of performance. However, it does correlate highly with important organisational citizenship behaviours, the voluntary acts of co-operation that go beyond formal job requirements. These discretionary forms of behaviour include helping one's coworkers, tolerating temporary inconveniences and so forth that contribute to the smooth functioning of the organisation. Employees' job satisfaction thus leads to greater citizenship behaviours that contribute to organisational-level improvement.

Fifth, job satisfaction is a general attitude that may not predict specific behaviours. In fact, job dissatisfaction can lead to a variety of outcomes rather than lower job performance. Some employees may continue to work productively while they complain, look for another job or patiently wait for the problem to be fixed.

Finally, there is still considerable debate on the direction of the relationship between job satisfaction and performance. In some cases, job satisfaction results from good performance rather than vice versa. This applies more when the performance of an entire organisation is taken into account.

1.5.2 Withdrawal Behaviours

Withdrawal behaviours constitute such actions as chronic absenteeism and voluntary turnover that enable employees to escape from adverse organisational situations. Although voluntary turnover is permanent, while absenteeism is a short-term reaction, both are ways of withdrawing from dissatisfying jobs.

Numerous studies have shown that dissatisfied employees are more likely to quit their jobs or be absent than satisfied employees (e.g., Hackett & Guion,

1985; Kohler & Mathieu, 1993). Job satisfaction shows correlations in the range of -0.25 with turnover and absenteeism suggesting its inverse relationship with these behaviours. However, there are a number of moderating variables that lessen the impact of this relationship.

First, job tenure and organisational commitment have been found to lessen the effects of dissatisfaction among employees. It has been found that the greater the length of service and commitment to the organisation, the less likely the person will leave the job.

Second, the relationship between turnover and satisfaction is moderated by the employee's level of performance (Spencer and Steers, 1981). Specifically, level of satisfaction is less important in predicting turnover for superior performers as compared to poor performers. Regardless of the level of satisfaction, superior employees are more likely to remain with the organisation as they get pay raises, praise, recognition, increased promotional opportunities, and so forth as organisations make considerable efforts to retain them. On the other hand, organisations make few attempts to retain poor performers and thus their decision to remain with the organisation is better predicted by their level of satisfaction.

Third, economic conditions and expectations about alternative employment opportunities influence turnover and absenteeism rates. When people perceive that the economic climate is poor and job prospects are low, they are less likely to quit their job. Also, when a company is in the process of laying off workers, absenteeism rates decline.

Fourth, irrespective of the level of satisfaction, absenteeism may be influenced by an organisational climate that seems to condone it. Higher absenteeism rates among workers are expected in organisations that provide liberal leave benefits and that are tolerant of absences from work. (Markham & McKee, 1995).

1.5.3 Workplace Deviance

Job dissatisfaction predicts a lot of specific behaviours, including unionisation attempts, substance abuse, stealing at work, undue socialising and tardiness. Researchers argue that these behaviours are indicators of a broader syndrome that can be termed as *workplace deviance counterproductive behaviour* or *antisocial behaviour*. Robinson and Bennett (1995) defined workplace deviance as “voluntary behaviour of organisational members that violates significant organisational norms, and in so doing, threatens the well-being of the organisation and/or its members”. They used the multidimensional scaling technique to classify workplace deviances into two types: organisational deviance and interpersonal deviance (when the deviance is directed at members of the organisation). The first type, organisational deviance refers to deviant behaviours targeting the organisation such as theft, sabotage, being late to work or leaving early, withdrawing effort from work or taking extended breaks. The second type, interpersonal deviance refers to deviant acts toward co-workers, supervisors, and subordinates in the workplace. They may include such behaviours as making fun of others, acting rudely, arguing, or engaging in physical aggression. Both are destructive and lead to unfavorable outcomes.

Evidence indicates that workers who are dissatisfied with their jobs “get even” by engaging in deviant, counter-productive behaviours. However, it is important

to note that while job satisfaction is an important predictor of workplace deviance, other factors may also be involved. Research evidence has suggested that deviant behaviour may be an outcome of perceived injustice (Fox, Spector, & Miles, 2001), negative affectivity (Skarlicki, Folger, & Tesluk, 1999) and hostile attributions (Douglas & Martinko, 2001). Some variables, however, would moderate the relationship such as self-control, agreeableness and job autonomy.

1.5.4 Safety Performance

Accidents and injuries at work are a serious matter – both for employees who are hurt and their organisations. Attempts have therefore been made to examine the potential causes of accidents and to reduce workplace injuries. A critical notion that has emerged from research is that employee attitudes and their job-related stress are significantly related to the occurrence of accidents, health and job safety. These studies have found that job satisfaction is a significant predictor of lower accident rates and that employee job satisfaction is as important as eliminating physical hazards in the workplace to promote job safety. It has been demonstrated that in organisations using the so-called high-performance work systems, not only are employees satisfied, but they also perform their jobs very safely (Barling, Kelloway, & Iverson, 2003). These organisations offer employees opportunities to participate in decision-making, provide incentives for them to do so, and emphasise opportunities to develop skills. These practices enhance employees' satisfaction with their job and reduce workplace injuries.

1.5.5 Customer Satisfaction

Management of service organisations is especially concerned with pleasing customers. Customer satisfaction thus represents an important goal of such organisations that can probably be achieved with a happy workforce. Research evidence indeed suggests that job satisfaction has a positive effect on customer satisfaction. There are two main reasons for this relationship. First, satisfied employees are more likely to be friendly, upbeat and responsive. This naturally evokes positive emotions and appreciation from customers. Second, satisfied employees are less likely to quit their jobs, so they have better knowledge and skills to serve clients. Lower turnover also gives customers the same employees to serve them, so there is more consistent service. There is also some evidence that customers build their loyalty to specific employees, not to the organisation, so keeping turnover low tends to build customer loyalty (Chesbrough & Teece, 1998).

1.5.6 Life Satisfaction

The interplay between job and life satisfaction is an emerging area of study. Researchers have speculated that there are three possible forms of the relationship between job satisfaction and life satisfaction: (1) spillover, where job experiences spill over into non-work life and vice versa; (2) segmentation, where job and life experiences are separated and have little to do with one another; and (3) compensation, where an individual seeks to compensate for a dissatisfying job by seeking fulfillment and happiness in his or her non-work life and vice versa. Judge and Watanabe (1994) argued that these different models may exist for different individuals and were able to classify individuals into the three groups. In their sample, they found that 68% were the spillover group, 20% in the segmentation group, and 12% in the compensation group. Thus, the spillover

model, whereby job satisfaction spills into life satisfaction and vice versa, appears to characterise most employees.

Consistent with the spillover model, research suggests that the relationship between job and life satisfaction is reciprocal—job satisfaction does affect life satisfaction, but life satisfaction also affects job satisfaction (Judge & Watanabe, 1994). Also in support of a spillover model for job and life satisfaction, research literature shows a consistent relationship between job satisfaction and depression (Thomas & Ganster, 1995). This research suggests that dissatisfaction resulting from one's job can spill over into one's psychological well-being.

Based on research, it can thus be concluded that for many people, their job satisfaction is a result, in part, of spillover of their life satisfaction. At the same time, employees' job satisfaction can spill over into their life satisfaction and well-being.

Self Assessment Questions

- 1) Summarise the effects of job dissatisfaction using the EVLN model.

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- 2) Describe the relationship between job satisfaction and job performance.

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- 3) Examine the effect of job dissatisfaction on employee withdrawal and deviant behaviours.

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- 4) Discuss the role of job satisfaction in safety performance.

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- 5) Explain the relationship between job satisfaction and customer satisfaction.

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- 6) Examine the spillover model on the relationship between job satisfaction and life satisfaction.

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1.6 LET US SUM UP

Job satisfaction is an important attitudinal variable both in organisational research and in applied settings. It is understood as an individual's affective reaction to his/her job and can be studied as global or facet satisfaction. Numerous measures of assessing job satisfaction have been developed. There are several predictors of job satisfaction including both personal and work situation characteristics. It has several important consequences reflected in its relationship with job performance, withdrawal behaviours, workplace deviance, customer satisfaction and life satisfaction.

1.7 UNIT END QUESTIONS

- 1) Describe the significance of job satisfaction as an organisational variable. What are the important preludes to the study of job satisfaction?
- 2) What is the meaning of the concept of job satisfaction? Discuss the different ways in which job satisfaction can be classified and understood.
- 3) Discuss some important assessment techniques of job satisfaction.
- 4) What are some important personal variables that influence job satisfaction? Quoting relevant research, discuss their role in understanding individual differences in job satisfaction.
- 5) Describe the work situation characteristics that affect job satisfaction.
- 6) Explain the EVLN model on the consequences of job dissatisfaction.
- 7) Describe the outcomes of job satisfaction.

1.8 GLOSSARY

Job satisfaction	: Individual's affective reaction to a particular job that results from a comparison of actual outcomes with those that are desired, anticipated or deserved.
Global satisfaction	: An overall affective reaction based on all characteristics of the job and the work environment.
Facet satisfaction	: Affective response to specific aspects of the job.
EVLN model	: The model describing four consequences of job dissatisfaction: exit, voice, loyalty and neglect.
Organisational citizenship:	Voluntary acts of cooperation that go beyond an employee's formal job duties.
Voluntary turnover	: A form of employee turnover in which an individual voluntarily resigns from his or her job.
Absenteeism	: Habitual failure to appear for work or other regular duty.
Workplace deviance	: Voluntary behaviour of organisational members that violates significant organisational norms and that threatens the well-being of the organisation and/or its members.
Spillover model	: The model that describes a reciprocal relationship between job satisfaction and life satisfaction.

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UNIT 2 WORK MOTIVATION

Structure

- 2.0 Introduction
- 2.1 Objectives
- 2.2 Meaning of Work
- 2.3 Nature of Work Motivation
 - 2.3.1 Defining Work Motivation
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 - 2.3.3 Process of Motivation
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2.0 INTRODUCTION

Motivation has long been the topic of interest for both managers and organisational researchers. There are two primary reasons for this continued interest. First, motivation is an integral part of the performance equation at all levels. It is therefore an important topic to be understood for pragmatic reasons. Second, motivation is seen as the fundamental building block in the development of useful theories of effective management practice. It is indeed an important topic in many subfields in the study of management including leadership, managerial ethics, decision making and organisational change. It is not surprising, therefore, that this topic has received a lot of attention and generated many approaches toward understanding it.

This unit is devoted to the understanding of the nature of work motivation. Various developments in motivation theory are also highlighted in this unit.

2.1 OBJECTIVES

After reading this unit, you will be able to:

- Explain the meaning of work and present its functions for an individual;
- Describe the concept of motivation;
- Elucidate a conceptual model of work motivation;
- Explain the main types of motives at work; and
- Analyse the developments in motivation theory.

2.2 MEANING OF WORK

Work has been defined variously by authors and researchers from several streams. A broad definition that encompasses conceptualisations of work across social and behavioural sciences has been offered by Budd & Bhawe (2010). He defined work as a purposeful human activity involving physical or mental exertion that is not undertaken solely for pleasure and that has economic value. The first part of this definition (“purposeful human activity”) distinguishes work from the broader realm of all human effort. The second part (“not undertaken solely for pleasure”) separates work from leisure, while allowing for work to be pleasurable and thereby recognising that there can sometimes be a nebulous boundary between work and leisure. The final part (“that has economic value”) allows work to be more encompassing than paid employment by also including unpaid caring for others, self-employment, subsistence farming, casual work in the informal sector, and other activities outside the standard boundaries of paid jobs and career aspirations.

Work and its related motivational variables have also been defined from the point of view of the worker. Roe (1956) described work as the main focus of an individual’s activities and thoughts. Lofquist and Dawis (1969) defined work as a focal point for the development of one’s way of life, and a vehicle for one’s total adjustment throughout life. These two definitions emphasise the impact of work on individual lives.

Work as a human activity serves several important functions for an individual:

- **Economic function** – Work provides goods and services, either directly through self-production or indirectly through earned income. Mainstream economic thought highlights this function by conceptualising work as an abstract quantity of productive effort that has tradable economic value. It is seen as something that individuals do in order to earn income and maximise their individual or household utility.
- **Social relation function** – Work consists of human interactions that are experienced in and shaped by social networks, norms and power relations. It thus serves a social relation function by allowing individuals to seek approval, status, sociability, and power. These needs may be met in the context of the structural features of employment relation such as formal policies, rules, and routines (Thompson & Newsome, 2004) or informal elements operating in the work environment such as organisational culture (Knights & Willmott, 1989).
- **Personal fulfillment function** – The nature of one’s work – such as the job tasks, rewards, relations with co-workers, and supervision – can affect one’s cognitive and affective states. Ideally, work is a source of personal fulfillment and psychological well-being because it can satisfy human needs for achievement, mastery, self-esteem, and self-worth (Turner, Barling, & Zacharatos, 2002). But lousy work – work with mindless repetition, abusive co-workers or bosses, excessive physical or mental demands, or other factors – can have negative psychological consequences.
- **Identity function** – Since work is such a major part of many people’s lives, it can be conceptualised as a source of identity, that is, understanding and

meaning (Leidner, 2006). This can occur on several levels. The personal identity dimension focuses on stable and consistent attributes and traits that an individual sees as making him or herself unique (Turner & Onorato, 1999). This can contain biographical information, including descriptors related to one's work. The social identity approach focuses on how individuals further construct their identities by categorising themselves into various groups (Hogg, 2006). This might include one's occupation, employer, and other work-related group constructs. The interactionist approach suggests that individuals create identities through social interactions with others (McCall & Simmons, 1966). From this perspective, the social roles attached to occupations and careers are a major source of our self-presentation and identity during our adult years (Hughes, 1971).

2.3 NATURE OF WORK MOTIVATION

The study of motivation is concerned with why people behave in a certain way. The basic underlying question is 'why do people do what they do?' An important problem in the study of motivation is accounting for purposiveness of behaviour.

The term *motivation* derives from the Latin word *movere* which means 'to move'. Taken literally, motivation is the process of arousing movement but the term ordinarily applies to the arousal of one kind of movement – behaviour. However, the study of motivation is not restricted to the process of evoking behaviour, but it also includes an analysis of the conditions which sustain activity and which regulate its patterning. It is also concerned with why people choose a particular course of action in preference to others, and why they continue with a chosen action, often over a long period, and in the face of difficulties and problems.

2.3.1 Defining Work Motivation

In an attempt to understand the concept of motivation and highlight its complexity, several definitions have been offered. Atkinson (1964) defines motivation as "the contemporary (immediate) influence on direction, vigour, and persistence of action", while Vroom (1964) defines it as "a process governing choice made by persons among alternative forms of voluntary activity". Campbell and Pritchard (1976) suggest that "motivation has to do with a set of independent/ dependent variable relationships that explain the direction, amplitude, and persistence of an individual's behaviour, holding constant the effects of aptitude, skill, and understanding of the task, and the constraints operating in the environment". Kanfer (1990) describes motivation as "a set of psychological processes involved with the arousal, direction, intensity, and persistence of voluntary actions that are goal directed".

All definitions appear to have four common denominators which may be said to characterise the phenomenon of motivation. That is, when we discuss motivation, we are primarily concerned with:

- 1) **Activation of behaviour** – It has to do with the drive or energy behind our actions and is demonstrated by the arousal of goal-directed behaviour.
- 2) **Direction of behaviour** – It is concerned with the paths people choose toward meeting their goals and is seen by the regulation of behaviour toward specific goals.

- 3) **Persistence of behaviour** – It has to do with continued efforts in the achievement of goals often in the face of obstacles and is demonstrated by sustained activity over a period of time.
- 4) **Intensity of behaviour** – It is concerned with the extent of effort put in to achieve a goal and is seen in the concentration and vigour that goes into pursuing the goal.

A definition of work motivation that covers these denominators is presented by Katzell and Thompson (1990) who defines it as a “broad construct pertaining to the conditions and processes that account for arousal, direction, magnitude, and maintenance of effort in a person’s job”. Pinder (1998) defined work motivation as “a set of energetic forces that originate both within as well as beyond an individual’s being, to initiate work-related behaviours, and to determine its form, direction, intensity, and duration”. There are two noteworthy features of this definition. First, motivation is identified as an energising force – it is what induces action in employees. Second, this force has implications for the form, direction, intensity, and duration of behaviour. That is, it explains what employees are motivated to accomplish, how they will attempt to accomplish it, how hard they will work to do so, and when they will stop.

More recently, Robbins (2005) defines work motivation as “the willingness to exert high levels of effort towards organisational goals, conditioned by the effort’s ability to satisfy some individual needs”. Three key elements can be seen in this definition: effort, organisational goals, and needs. The *effort* element is a measure of intensity or drive. A motivated person tries hard. But high levels of effort are unlikely to lead to favourable job performance unless the effort is channeled in a direction that benefits the organisation. Therefore, one must consider the quality of the effort as well as its intensity. Effort that is directed toward, and is consistent with, organisational goals is the kind of effort that managers and organisations should be seeking. Finally, motivation is a need-satisfying process. A need refers to some internal state that makes certain outcomes appear attractive. An unsatisfied need creates tension that stimulates drives within an individual. These drives lead to a search behaviour to find particular goals that, if attained, will satisfy the need and reduce the tension. When the individuals’ needs are compatible with the organisation’s goals, they may exert high levels of effort that are beneficial for the organisation.

Work motivation is thus concerned with factors that energise, channel, sustain and amplify work performance toward organisational goals. Gaps between motivation and performance exist whenever people avoid starting something new, resist doing something familiar, stop doing something important and switch their attention to a less valued task, or refuse to “work smart” on a new challenge and instead use old, familiar but inadequate solutions to solve a new problem (Clark, 1998).

2.3.2 Characteristics of Work Motivation

From a review of motivational definitions, several characteristics of work motivation can be identified:

- 1) Motivation is an individual psychological phenomenon that allows for a person’s uniqueness to be demonstrated at the workplace.

- 2) It is assumed to be under the person's control. Behaviours that are influenced by motivation, such as effort expended, are seen as purposive rather than random.
- 3) The direction of a person's behaviour toward organisational goals is determined by work motivation.
- 4) It describes concerted effort often in the face of obstacles until the goal is accomplished.
- 5) It leads individuals to invest greater cognitive effort to enhance both the quality and quantity of work performance.
- 6) It is distinct from performance; other factors besides motivation (e.g., ability and task difficulty) influence performance.
- 7) It is multifaceted. People may have several different motives operating at once. Sometimes, these motives may conflict with one another.

2.3.3 Process of Motivation

Motivation as a process starts with a physiological or psychological deficiency or need that activates behaviour or a drive that is aimed at a goal or incentive. Thus motivation consists of three interacting and interdependent elements:

- 1) **Needs** – Needs are created whenever there is a physiological or psychological imbalance. For example, a need exists when cells in the body are deprived of food and water or when a person is deprived of friends and other companions. Although psychological needs may be based on a deficiency, sometimes they are not. For example, an individual with a strong need to get ahead may have a history of consistent success.
- 2) **Drives** – Drives are set up to alleviate needs. They are action-oriented and provide an energising thrust toward achieving a certain goal or accomplishing a certain task. Needs for food and water are translated into the hunger and thirst drives, and the need for friends becomes a drive for affiliation.
- 3) **Incentives** – Incentive is anything that can mitigate a need and decrease the intensity of the drive. Thus attaining an incentive tends to restore physiological or psychological balance and reduces the drive. Eating food, drinking water and obtaining friends will tend to restore the balance and reduce the corresponding drives. Food, water and friends are the incentives in these examples.

2.3.4 Relationship Between Motivation and Performance

While motivation and performance are related, motivation is just one of the several possible determinants of job performance. The MARS model describes four factors that directly influence employee's behaviour and performance – motivation, ability, role perceptions and situational factors. The model shows that these four factors have a combined effect on individual performance. If any factor weakens, employee performance will decrease. For example, enthusiastic salespeople (motivation) who understand their job duties (role perceptions) and have sufficient resources (situational factors) will not perform their jobs as well if they lack sufficient knowledge and sales skill (ability).

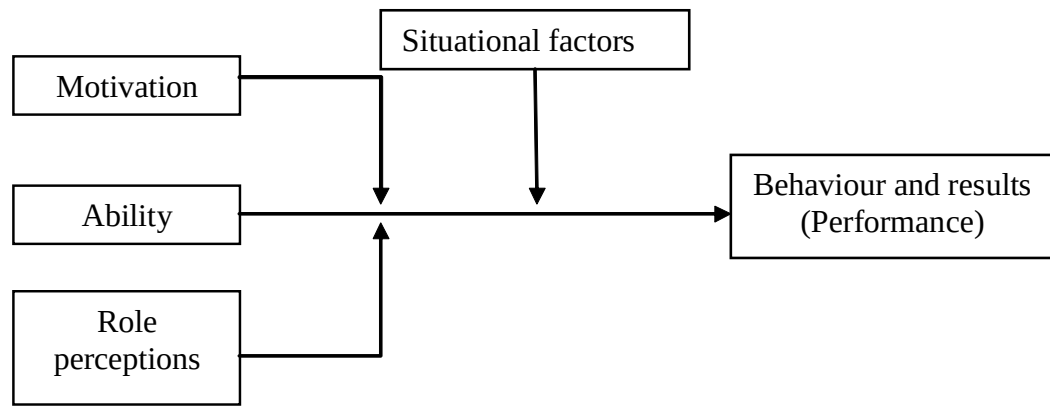


Fig. 2.1: MARS Model of Individual Behaviour and Results

The model thus depicts that successful performance involves the co-operation of motivation and ability in clear and supportive work environments. Motivation only leads us to use our knowledge and skills and apply them effectively to work tasks. Without adequate knowledge, clear role perceptions and a supportive environment, motivation alone does not increase performance. Thus adequate motivation is a necessary, but not sufficient for effective performance.

2.3.5 General Model of Work Motivation

A general model of work motivation is summarised in Figure 2.2. The model states that internal needs create drives that are affected by one's environment. The drives encourage motivated employees to put in effort. However, results occur only when motivated employees are provided with the opportunity (such as proper training) to perform and the resources (such as proper tools) to do so. The presence of goals and the awareness of incentives to satisfy one's needs are also powerful motivational factors leading to the release of effort. The level of effort put in (motivation) then influences performance together with ability or the knowledge and skills required in performing the task. When an employee is productive and the organisation takes note of it, rewards will be distributed. If those rewards are appropriate in nature, timing and distribution, the employee's original needs and drives are satisfied. At that time, new needs may emerge and the cycle will begin again.



Fig. 2.2: General model of work motivation

Self Assessment Questions

- 1) Explain the meaning of work. What functions does work serve for an individual?

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- 2) What is motivation? Describe the three elements in the process of motivation with suitable examples.

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- 3) Define work motivation. Describe its characteristics.

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- 4) Explain the relationship between motivation and performance using the MARS model.

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- 5) Illustrate the general model of work motivation.

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2.4 CLASSIFICATION OF MOTIVES AT WORK

The various needs and motives can be categorised in a number of ways – for example, the division into primary and secondary motives; or into extrinsic and intrinsic motivation.

2.4.1 Primary and Secondary Motives

Primary motives are unlearned, physiological needs that include hunger, thirst, sleep, sex, avoidance of pain and maintenance of body temperature. These needs arise from the basic requirements of life and are important for survival of the human race. They are, therefore, virtually universal, but they vary in intensity from one person to another. For example, a child may need more sleep than an older person. These needs may also be conditioned by social practice. If it is customary to eat three meals a day, then a person tends to become hungry at three times of the day, even though two meals might just be adequate. Similarly, if a coffee hour is introduced at work, coffee drinking may become a satisfying habit as well as a social need.

Secondary motives are learned, social motives that arise as a result of interaction with other people and develop as people mature. Included in this category are affiliation – desire to associate with others; recognition – need for frequent tangible proof that one is getting ahead; status – need to have a high rank in society, power – need to control and influence others; achievement – drive to accomplish something, autonomy – drive for independence; security and safety – desire to be secure; and defensiveness – desire to defend oneself from blame, criticism, ridicule and censure. Secondary needs are strongly conditioned by experience, vary in type and intensity among people, and are subject to change across time within any individual. These needs cannot usually be isolated and work in combination to influence behaviour. Nearly all action that management takes will affect secondary needs; therefore managerial plans should consider the effect of any proposed action on the secondary needs of employees.

2.4.2 Extrinsic and Intrinsic Motivation

Extrinsic motivation is related to tangible rewards such as salary and fringe benefits, promotion, contract of service, the work environment and conditions of work. Individuals are extrinsically motivated when they engage in work in order to obtain some goal that is apart from the work itself. Extrinsic motivation thus requires an instrumentality between the activity and some separable consequences such as tangible or verbal rewards, so that satisfaction comes not from the activity itself but rather from the extrinsic consequences to which the activity leads.

Intrinsic motivation is related to psychological rewards such as the opportunity to use one's ability, a sense of challenge and achievement, receiving appreciation, positive recognition and being treated in a caring and considerate manner. Individuals are intrinsically motivated when they seek enjoyment, interest, satisfaction of curiosity, self-expression, or personal challenge in the work. Intrinsic motivation thus involves people doing an activity because they find it interesting and derive spontaneous satisfaction from the activity itself. One psychological view suggests that very high levels of intrinsic motivation are

marked by such strong interest and involvement in the work, and by such a perfect match of task complexity with skill level, that people experience some kind of psychological “flow”, a sense of merging with the activity they are doing (Csikszentmihalyi, 1975).

Ken Thomas model of intrinsic motivation proposes that intrinsic motivation is achieved when people experience feelings of:

- **Choice** – ability to select activities and to perform in ways that seem appropriate.
- **Competence** – accomplishment felt in skillfully performing task activities.
- **Meaningfulness** – opportunity to pursue a worthy task purpose.
- **Progress** – feeling that one is making significant advancement in achieving the task’s purpose.

Deci and his colleagues proposed that intrinsic motivation occurs when individuals feel both self-determined and competent in their work (Deci, 1975; Deci & Ryan, 1985). According to these theorists, people will feel competent if they obtain feedback that indicates progress in their work, or suggests ways in which they can increase their competence. This model also suggests that extrinsic motivation works in opposition to intrinsic motivation. Extrinsic motivation takes place when individuals feel driven by something outside of the work itself such as promised rewards or incentives. In general, these theorists suggest that, when strong extrinsic motivators are put to work, intrinsic motivation will decline.

Self Assessment Questions

- 1) Distinguish between primary and secondary motives using suitable examples.

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- 2) What is the difference between extrinsic and intrinsic motivation? Describe the conditions under which people are likely to experience intrinsic motivation.

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2.5 DEVELOPMENTS IN MOTIVATION THEORY

The earliest approaches to understanding human motivation date from the time of the Greek philosophers and focus on the concept of hedonism as a principle driving force in behaviour. Individuals were seen as focusing their efforts on seeking pleasure and avoiding pain. Toward the end of the nineteenth century, the issue of motivation began to migrate from the realm of philosophy to the newly emerging science of psychology. Behavioural scientists began searching for empirically based models to explain motivation. Among these early models were instinct theories, such as those proposed by James, Freud, and McDougall. Instead of viewing behaviour as highly rational, these theorists argued that much behaviour resulted from instincts. James identified a list of such instincts that included locomotion, curiosity, sociability, fear, jealousy, and sympathy.

Drive and reinforcement models

Beginning around the 1920s, however, as increased limitations of the theory began to emerge, instinct theories began to be replaced by models based on drive or reinforcement. Led by such psychologists as Thorndike, Woodworth, and Hull, drive theorists introduced the concept of learning in motivated behaviour and posited that decisions concerning present or future behaviours are largely influenced by the consequences of rewards associated with past behaviour. Allport (1954) referred to this as *hedonism of the past*. Past actions that led to positive outcomes would tend to be repeated, whereas past actions that led to negative outcomes would tend to diminish. Thorndike (1911) referred to this as the *law of effect*, while Hull (1943) suggested that effort or motivation was largely determined by *drive × habit*. Skinner (1953) and others later built on these principles with the introduction of operant conditioning (referred to by some as *reinforcement theories*), arguing that, over time, individuals learn contingent relationships between actions and their consequences and that these contingencies guide future behaviour. Reinforcement models continue to thrive today as explanatory vehicles for understanding work motivation and job performance.

Scientific management

While psychologists were focusing on instincts and drives, managers were focusing on more pragmatic issues. A key development here was the work of Frederick Taylor and his colleagues in the scientific management movement. Coming from an industrial engineering background, Taylor (1911), along with many of his associates, focused his attention on the inefficiencies of factory production in an increasingly industrialised age. These colleagues proposed new and sophisticated wage incentive models to motivate workers that relied on a combination of job training, pay-for-performance incentive systems, improved employee selection techniques, and job redesign. While Taylor and his associates saw scientific management as an economic, workers soon came to dislike Taylor's approach as they were only given boring, repetitive tasks to carry out and were being treated little better than human machines. Firms could also afford to lay off workers as productivity levels increased. This led to an increase in strikes and other forms of unionisation efforts by dissatisfied workers.

Human relations movement

In the 1930's, the human relations movement started gaining momentum with social scientists and managers beginning to consider the role of social influences

on behaviour. Best noted among these research endeavors is Elton Mayo's (1933) work. Mayo conducted a series of experiments at the Hawthorne factory of the Western Electric Company in Chicago. He isolated two groups of women workers and studied the effect on their productivity levels of changing factors such as lighting and working conditions. He expected to see productivity levels decline as lighting or other conditions became progressively worse. What he actually discovered surprised him: whatever the change in lighting or working conditions, the productivity levels of the workers improved or remained the same. From this Mayo concluded that workers are best motivated by better communication between managers and workers, greater manager involvement in employees working lives and working in groups or teams. The role of group dynamics and the need to view employees as complex beings with multiple motivational influences were thus recognised as powerful influences on performance. Bendix (1956) summarised the principle contribution of this human relations movement by observing that the "failure to treat workers as human beings came to be regarded as the cause of low morale, poor craftsmanship, unresponsiveness, and confusion". McGregor (1960) later built on this in his classic early work, 'The Human Side of Enterprise'.

Need-based content models

By the 1950s, several new models of work motivation emerged, which collectively have been referred to as *content theories*, since their principal aim was to identify factors associated with motivation. Included here is work by Maslow, McClelland, Herzberg and Alderfer. Herzberg's work introduced the field to the role of job design – specifically, job enrichment – as a key factor in work motivation and job attitudes. In subsequent work, Hackman and Oldham (1976) and others have extended this line of research as it relates to work design, motivation, and job performance, while others, including Deci (1975), have articulated theories focusing specifically on task-based intrinsic versus extrinsic factors in motivation (e.g., self-determination theory).

Process-oriented theories

Beginning in the mid 1960s, a new approach to the study of work motivation emerged, which focused on delineating the processes underlying work motivation. Process theories contrast sharply with the earlier content theories, which focused on identifying factors associated with motivation in a relatively static environment. Process theorists view work motivation from a dynamic perspective and look for causal relationships across time and events as they relate to human behaviour in the workplace. Central to the process theory genre is a series of cognitive theories of motivation that collectively attempt to understand the thought processes that people go through in determining how to behave in the workplace. The best known of cognitive theories is expectancy theory formulated by Victor Vroom, expanded later by Porter and Lawler.

In addition to expectancy theory, a number of other important cognitive process theories have been developed since the 1960s, each with its own focus. Adams, for example, introduced equity theory to explain how employees respond both cognitively and behaviourally to perceived unfairness in the workplace. Goal-setting theory also emerged in the late 1960s, as researchers began to discover that the simple act of specifying targets for behaviour enhanced task performance.

Many of the ideas emerging from the 1960s and 1970s have been extended and further developed to reflect an expanded pool of research findings and more sophisticated research methods. Researchers have made great strides in conceptual developments and empirical work focusing on social learning theory, goal-setting theory, job design, reward systems, punishment, procedural justice, innovation and creativity, and cross-cultural influences on work behaviour.

2.6 IMPORTANCE OF MOTIVATION IN ORGANISATIONS

Employee motivation is essential to the success of any organisation, big or small. In the modern workplace, human resources are valued above all others. Motivated employees are productive, happy and committed. The spin-off of this includes reduced employee turnover, results-driven employees, company loyalty and workplace harmony.

Motivation is very important for an organisation because of the following benefits it provides:

- 1) **Increased productivity and improved employee performance** – Perhaps the most significant impact of increased employee motivation is that of increased productivity. A motivated workforce is essential, as it inevitably drives the profitability of the organisation. Research has shown that motivation is a key determinant of job performance and that a poorly motivated force is costly in terms of excessive staff turnover, higher expenses, negative morale, increased cost of operations and increased use of managements' time.
- 2) **Stability of workforce** – If management neglects to educate and motivate their employees, they will inevitably become dissatisfied or disenchanted with their job. Disenchantment in the workplace leads to absenteeism, turnover, sick leave, strikes, grievances and even accidents. A motivated workforce alleviates disenchantment felt by employees and improves these factors.
- 3) **Positive workplace culture** – Motivation leads to an optimistic and challenging attitude at the work place. It instills a positive attitude among employees during challenging times. There is also more adaptability and creativity during periods of amendments. Motivation thus creates a workplace and culture of high achievers.
- 4) **Better teamwork** – Motivation encourages teamwork among employees. The more motivated the employees are, the more empowered the team is. The more is the team work and individual employee contribution, the more profitable and successful is the organisation.
- 5) **Workplace harmony** – A motivated workforce leads to greater understanding, acceptance, commitment to implementation, understanding of objectives and decision making between management and employees. It thus promotes harmony at the workplace.

Self Assessment Questions

- 1) Discuss the scientific management approach.

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- 2) Examine the role of Hawthorne studies in understanding and motivating employees.

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- 3) Describe and compare the need-based and process approaches to work motivation.

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- 4) Why do you think motivating employees is an important consideration for organisations?

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2.7 LET US SUM UP

Work is an important activity in an individual's life that serves not only economic, but also social relation, personal fulfillment and identity functions for an individual. Motivation at work is valuable as it serves to arouse, direct, maintain and intensify effort toward specific goals. Motivation can be understood as an inner directing force that influences people's willingness to work toward organisational goals. As a process, it is initiated when there is an internal need that drives an individual toward actions directed at obtaining incentives.

Motivation at the workplace is a complex process of needs and drives, and awareness of goals and incentives that motivate employees to exert effort. However, results occur only when motivated employees are provided with the opportunity to perform and when they have the resources and the ability to do so. When an employee is productive and the organisation takes note of it, rewards are distributed that result in the satisfaction of employee's original needs and drives.

There are several motives that can be classified as either primary or secondary. Primary motives are unlearned physiological motives that are related to the survival of the human species. Secondary motives are learned social motives that vary greatly in their presence and strength across individuals. Motives can also be classified as extrinsic or intrinsic. Extrinsic motivation requires an instrumentality between the activity and some separable consequences such as tangible or verbal rewards, so that satisfaction comes not from the activity itself but rather from the extrinsic consequences to which the activity leads. Intrinsic motivation, on the other hand, involves people doing an activity because they find it interesting and derive spontaneous satisfaction from the activity itself.

Developments in motivation theory can be traced back to Greek philosophers, though its scientific understanding began only when instinct approaches were propounded. While the concept of instincts highlighted the biological basis of motivation, the drive and reinforcement models emphasised that motives were primarily learned. Interest in motivation for improving work efficiency can be attributed to Taylor's scientific management. As opposed to the economic view of man inherent in scientific management, human relations movement brought to notice the human side to organisations. Later, content models built on human needs as important elements in work motivation while process theories examined the dynamic processes that underlie human behaviour at the workplace. Together, the several approaches contribute to a better understanding of work motivation.

Motivation is important to organisations because it leads to enhanced employee performance that translates into greater organisational productivity. It also promotes stability of the work force, a positive work culture, better teamwork and enhanced workplace harmony.

2.8 UNIT END QUESTIONS

- 1) Describe the meaning of work. How does work contribute to an individual's life?
- 2) Explain the concept of motivation by quoting suitable definitions.
- 3) What is work motivation? Describe some of its important characteristics.
- 4) Illustrate the MARS model to describe the relationship between motivation and performance.
- 5) Examine the general model of work motivation.
- 6) Trace the developments in motivation theory.
- 7) Discuss the importance of motivation in organisations.

2.9 GLOSSARY

Work	: Human activity involving physical or mental exertion that is not undertaken solely for pleasure and that has economic value.
Motivation	: Psychological process governing the arousal, direction, intensity, and persistence of voluntary actions that are goal directed.
Work motivation	: Process that accounts for arousal, direction, magnitude, and maintenance of effort in a person's job.
Need	: Physiological or psychological deficiency that creates a state of tension and imbalance.
Drive	: Tension that provides an energising thrust toward achieving a certain goal or accomplishing a certain task.
Incentive	: Anything that can mitigate a need and decrease the intensity of the drive.
Primary motives	: Unlearned physiological needs that arise from the basic requirements of life and that are important for the survival of human race.
Secondary motives	: Learned social motives that arise as a result of interaction with other people and that develop as people mature.
Extrinsic motivation	: Motivation promoted by factors external to the individual and unrelated to the task being performed.
Intrinsic motivation	: Internal desire to perform a particular task because it is enjoyable.
Hedonism	: The doctrine holding that behaviour is motivated by the desire for pleasure and the avoidance of pain.

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UNIT 3 CONTENT THEORIES, PROCESS THEORIES AND SCHEDULES OF REINFORCEMENT

Structure

- 3.0 Introduction
- 3.1 Objectives
- 3.2 Theories of Motivation
- 3.3 Content Theories
 - 3.3.1 Maslow's Hierarchy of Needs
 - 3.3.2 Alderfer's ERG Theory
 - 3.3.3 Herzberg's Motivator-Hygiene Theory
 - 3.3.4 McClelland's Learned Needs Theory
 - 3.3.5 Job Characteristics Model
- 3.4 Process Theories
 - 3.4.1 Vroom's Expectancy Theory
 - 3.4.2 Equity Theory
 - 3.4.3 Goal-setting Theory
- 3.5 Reinforcement Theory
- 3.6 Let Us Sum Up
- 3.7 Unit End Questions
- 3.8 Glossary
- 3.9 Suggested Readings and References

3.0 INTRODUCTION

The broad rubric of motivation and motivation theory is one of the most frequently studied and written-about topics in the organisational sciences, and is considered one of the most important areas of study in the field of organisational behaviour. Despite the magnitude of the effort that has been devoted to the study of motivation, there is no single theory of motivation that is universally accepted. The lack of a unified theory of motivation reflects both the complexity of the construct and the diverse backgrounds and aims of those who study it. This unit is devoted to the understanding of the various theories of motivation and their application to the management context.

3.1 OBJECTIVES

After reading this unit, you will be able to:

- Explain the content theories of motivation and evaluate their applicability;
- Describe the expectancy theory and its key tenets to motivating employees;
- Define equity theory and its implications for managers;
- Explain goal-setting theory; and
- Describe reinforcement theory and illustrate schedules of reinforcement.

3.2 THEORIES OF MOTIVATION

There are many competing theories which attempt to explain the nature of motivation. These theories center on three different aspects of motivation: the individual's predisposition, the cognitive process, and the consequences deriving from the individual's action. Based on these aspects, there are three types of theories of motivation:

- **Content theories** – These theories are concerned with identifying people's needs and their relative strengths, and the goals they pursue in order to satisfy these needs.
- **Process theories** – These theories are concerned more with how behaviour is initiated, directed and sustained and attempt to identify the relationship among the dynamic variables, which make up motivation.
- **Reinforcement theory (outcome theories)** – This theory seeks to explain what types of consequences motivate different people to work. It focuses on how environment teaches us to alter our behaviours so that we maximise positive consequences and minimise adverse consequences.

3.3 CONTENT THEORIES

Content (or need) theories of motivation focus on factors internal to the individual that energise and direct behaviour. In general, such theories regard motivation as the product of internal drives that compel an individual to act or move toward the satisfaction of individual needs. Major content theories of motivation are Maslow's hierarchy of needs, Alderfer's ERG theory, Herzberg's motivator-hygiene theory, and McClelland's learned needs or three-needs theory.

3.3.1 Maslow's Hierarchy of Needs

Maslow's hierarchy of needs theory (1954) proposes that humans are motivated by multiple needs and that these needs exist in a hierarchical order. Maslow identified five general types of motivating needs:

- **Physiological needs:** These are the most basic human physical needs, including food, water, and other conditions necessary for survival. In the organisational setting, these are reflected in the needs for pleasant working conditions and salary.
- **Safety needs:** These are the needs for a safe and secure physical and emotional environment and freedom from threats and emotional distress. In an organisational workplace, safety needs reflect the needs for safe jobs, fringe benefits and job security.
- **Social needs:** These needs reflect the desire to be accepted by one's peers, have friendships, be loved, and be part of a group. In the organisation, these needs influence the desire for good relationships with coworkers and supervisors and participation in a work group.
- **Esteem needs:** These needs relate to the desire for a positive self-image and to receive attention, recognition, and appreciation from others. Within an

organisation, esteem needs reflect a motivation for recognition, an increase in responsibility, high status, and credit for contributions to the organisation.

- **Self-actualisation needs:** These represent the need for self-fulfillment, which is the highest need category. They concern developing one's full potential, increasing one's competence, and becoming a better person. Self-actualisation needs can be met in the organisation by providing people with opportunities for growth, creativity, advancement and achievement.

Maslow suggested that a substantially satisfied need no longer motivates; it is the lowest level of ungratified need in the hierarchy that motivates behaviour; and lower-level needs (physiological and safety needs) must be met before upper-level needs (social, esteem and self-actualisation) can be motivational. Thus, individuals must have safe working conditions, adequate pay to take care of one's self and one's family, and job security before they will be motivated by increased job responsibilities, status, and challenging work assignments.

Because of the ease of its application, Maslow's theory has received wide recognition, particularly among practising managers. However, the theory has received little research support and has been criticized on the following grounds:

- 1) While Maslow viewed satisfaction as the main motivational outcome of behaviour, job satisfaction does not necessarily lead to improved work performance.
- 2) Gratification of one need does not necessarily lead to increased motivation to satisfy the next higher level need. Some people can be very hungry and yet strive to fulfill their social needs; others can self-actualise while working in a risky environment.
- 3) There are individual differences in the order in which needs are activated. Also, needs change more rapidly than what Maslow stated.

Despite criticisms, the theory made significant contributions to the study of work motivation. First, the model brought a more holistic perspective by introducing the notion that needs are related to one another. Second, Maslow's focus on higher-order need highlighted the role of social dynamics in human motivation. Third, the theory brought a more positive perspective of employee motivation by paying attention to strengths and not just deficiencies.

3.3.2 Alderfer's ERG Theory

The ERG theory is an extension of Maslow's hierarchy of needs. Alderfer (1972) suggested that needs could be classified into three categories, rather than five. These three types of needs are existence, relatedness, and growth. These needs encompass the needs proposed by Maslow and they can be satisfied within the work environment.

- Existence needs are concerned with physical survival and include the needs for food, water, shelter and physical safety. Organisations can satisfy these needs through pay, fringe benefits, a safe working environment and job security.
- Relatedness needs involve interactions with other people and the associated satisfaction in terms of emotional support, respect, recognition and

belongingness. These needs can be satisfied on the job by developing interpersonal relationships with co-workers and mentors and off the job by having family and friends.

- Growth needs are those related to the attainment of one's potential. These needs can be satisfied by using our skills and abilities to the fullest. A job can satisfy growth needs if it involves challenge, autonomy and creativity.

The ERG theory differs from the hierarchy of needs in several ways:

- 1) The ERG model does not assume a rigorous progression from one level to the other. Instead, it accepts the likelihood that all three levels might be active at any time – or even that just one of the higher levels might be active.
- 2) It suggests that if an individual is continually unable to meet upper-level needs, the person will regress and return to the lower-level needs and then progress again. For example, if employees cannot find emotional support or recognition on the job (relatedness needs), they may demand higher pay or better health coverage (existence needs) as compensation for failing to satisfy the other needs.
- 3) The model proposes that growth needs are not only unlimited but are actually awakened each time some satisfaction is attained. Thus while Maslow suggested that a satisfied need no longer motivates us, ERG model predicts that a satisfied need may actually increase its strength. For example, if a job provides a great deal of challenge and creativity, our growth needs might become stronger, leading us to seek greater challenges at work.

3.3.3 Herzberg's Motivator-Hygiene Theory

On the basis of research with engineers and accountants, Frederick Herzberg (1966) developed the motivator-hygiene theory. He asked his subjects to think about the times they felt especially good or bad about their jobs. Tabulating the reported good and bad feelings, Herzberg concluded that there are two sets of needs: the *hygiene needs*, which produce job dissatisfaction and the *motivator needs*, which produce job satisfaction. Taken together, the hygiene factors and motivators are known as Herzberg's two-factor theory of motivation.

Hygiene factors (lower needs) are factors which 'surround the job' rather than the job itself; they are related to *job context*. These involve features of the work environment such as company policy, supervision, interpersonal relations, working conditions and salary and benefits. The hygiene factors dissatisfy employees when they are absent. However, their presence brings employees only to a neutral state and by themselves, they are not strongly motivating. For example, a worker will only turn up to work if a business has provided a reasonable level of pay and safe working conditions but these factors will not make him work harder at his job once he is there.

The motivator needs (higher needs) motivate employees to high job performance and promote satisfaction. These needs are internal to the work itself; they are allied to *job content*, and include factors such as achievement, responsibility, recognition, growth, advancement and recognition. The motivator factors operate

to build motivation, but their absence is not strongly dissatisfying. These are the characteristics that people find intrinsically rewarding and serve as strongly motivating factors.

Although Herzberg's theory is a popular explanation of work motivation, it has been criticized on the following grounds:

- 1) It is not universally applicable, because it was based on and applies best to managerial, professional and upper-level white-collar employees.
- 2) The model appears to reduce the motivational importance of pay, status and relations with others, since these are maintenance factors.
- 3) The model is limited by its self-report methodology. The appearance of two factors could very well be an outcome of people's tendencies to take credit themselves when things are going well and to blame the extrinsic environment for failure.
- 4) The model makes no absolute distinction between the effects of the two major factors but outlines only general tendencies. This has limited applicability and no significant predictive outcomes for productivity.

Regardless of the criticisms, Herzberg has contributed substantially to the study of work motivation. He extended Maslow's need hierarchy concept and made it more applicable to work motivation. He also drew attention to the importance of job content factors in work motivation, which previously had been neglected and often overlooked. The job design technique of job enrichment is also one of Herzberg's contributions. Overall, Herzberg added much to the better understanding of job content factors, but fell short of a comprehensive theory of work motivation.

3.3.4 McClelland's Learned Needs Theory

McClelland's theory (1971) suggests that needs are amplified or suppressed through self-concept, social norms, and past experience. Therefore, needs can be "learned". Three of the primary needs in this theory are as follows:

- **Need for achievement (*nAch*)** – The desire to excel, to achieve in relation to a set of standards and to pursue and attain goals.
- **Need for affiliation (*nAff*)** – The desire for friendly and close interpersonal relationships.
- **Need for power (*nPow*)** – The desire to control one's environment and to influence others.

People with a strong need for achievement want to accomplish reasonably challenging goals through their own effort. They prefer tasks with a moderate degree of risk and those that provide immediate and precise feedback information on progress toward a goal. High achievers find accomplishment of a task to be intrinsically satisfying; they do not expect or necessarily desire the accompanying material rewards. Also, when high achievers select a goal, they tend to be totally preoccupied with the task until it is successfully completed. They tend to be realistic about their abilities and tend to persist in their efforts to accomplish goals.

People with a strong need for affiliation try to project a favourable image of themselves. They tend to actively support others and try to smooth out workplace conflicts. High nAff employees generally work well in coordinating roles to mediate conflicts, and in sales positions where the main task is cultivating long-term relations. However, they tend to be less effective at allocating scarce resources and making other decisions that potentially generate conflict.

People with a high need for power want to exercise control over others and are concerned about maintaining their leadership positions. They frequently rely on persuasive communication, make more suggestions in meetings and tend to publicly evaluate situations more frequently. McClelland pointed out that there are two types of nPow. Those who enjoy their power for its own sake and use it to advance personal interest have *personalised power*. Others have a high need for *socialised power* because they desire power as a means to help others.

An extensive amount of research done on the theory makes several predictions about the relationship between needs and job performance:

- 1) When jobs have a high degree of personal responsibility and feedback and an intermediate degree of risk, high achievers are strongly motivated. High achievers, for example, are successful in entrepreneurial activities such as running their own businesses and managing self-contained units within large organisations.
- 2) High achievers do not necessarily make good managers. People with a high achievement need are interested in how well they do personally and not in influencing others to do well. Typically, high achievers make excellent salespersons but seldom good sales managers.
- 3) People with low need for affiliation tend to do better in decision-making positions because their choices and actions are not biased by a personal need for approval.
- 4) A high power motive is related to managerial effectiveness. Power-motivated people make excellent managers especially when they have a high need for socialised rather than personalised power.

3.3.5 Job Characteristics Model

The job characteristics model (Hackman & Oldham, 1976) proposes that motivation, satisfaction, performance quality, and withdrawal behaviours such as absenteeism and turnover are a function of three critical psychological states: experienced meaningfulness, responsibility for outcomes, and knowledge of results. Experienced meaningfulness is thought to be determined by three core job characteristics: skill variety (being challenged to use a variety of one's capabilities), task identity (completing a whole, identifiable piece of work from start to finish), and task significance (having an impact on other people inside or outside the organisation). Experienced responsibility is thought to be shaped by the job characteristic of autonomy (freedom and discretion about when and how to complete the work), and experienced knowledge of results is shaped by the job characteristic of feedback (information from completing the work itself about one's progress and effectiveness). Thus, from a motivational standpoint, well-designed jobs are those that incorporate high levels of the five core job dimensions. When people perform such jobs, they should feel highly motivated, perform high-quality work, be highly satisfied with their jobs, be absent infrequently and be unlikely to resign from their jobs.

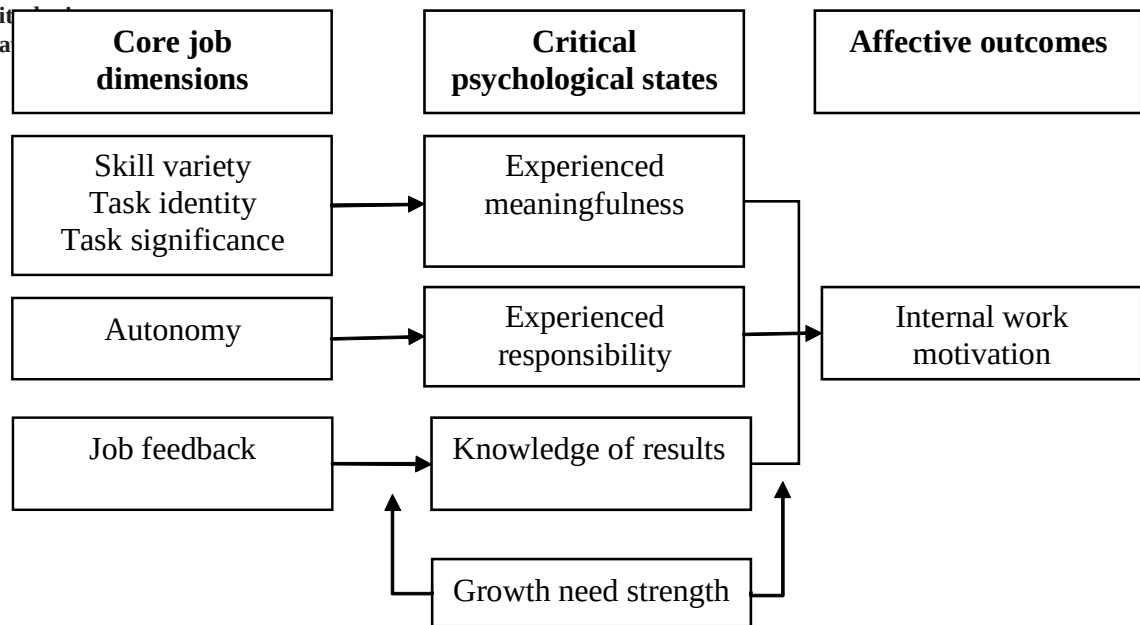


Fig 3.1: The Job Characteristics Model

To assess the relationship between core job dimensions and motivation, a questionnaire known as the Job Diagnostic Survey (JDS) has been developed. Based on responses to the JDS, an index known as the motivating potential score (MPS) is computed as follows:

$$\text{MPS} = \frac{\text{Skill variety} + \text{Task identity} + \text{Task significance} \times \text{Autonomy} \times \text{Feedback}}{3}$$

The MPS is a summary index of a job's potential for motivating people. The higher the score for a given job, the greater the likelihood of experiencing positive outcomes specified by the model. These effects are, however, moderated by individual differences in growth need strength, such that employees who value learning and development are more responsive to both the enriched job characteristics and the critical psychological states, as well as by knowledge, skill, and autonomy in the work context.

Self Assessment Questions

- 1) Present the three main categories of theories in the area of work motivation.

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- 2) Critically evaluate Maslow's need hierarchy. Relate it to Alderfer's ERG model.

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- 3) Describe Herzberg's two-factor theory. Evaluate its contribution to the study of work motivation.

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- 4) Examine McClelland's learned needs theory. What are some of the research predictions made from the theory?

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- 5) Explain and evaluate the job characteristics model.

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3.4 PROCESS THEORIES

Process (or cognitive) theories of motivation focus on conscious human decision processes as an explanation of motivation. The process theories are concerned with determining how individual behaviour is energised, directed, and maintained in the specifically willed and self-directed human cognitive processes. Process theories of motivation are based on early cognitive theories, which posit that behaviour is the result of conscious decision-making processes. The major process theories of motivation are expectancy theory, equity theory, goal-setting theory, and reinforcement theory.

3.4.1 Vroom's Expectancy Theory

Vroom (1964) suggested that motivation is a product of three factors: *expectancy*, one's estimate that effort will lead to successful performance; *instrumentality*, one's estimate that performance will result in certain outcomes or rewards; and *valence*, the extent to which expected outcomes are attractive or unattractive. This relationship is stated in the following formula:

$$\text{Expectancy} \times \text{Instrumentality} \times \text{Valence} = \text{Motivation}$$

Expectancy: Expectancy is the strength of belief that one's work-related effort will result in a given level of performance. For example, a person selling insurance policies may know from experience that volume of sales is directly related to the number of sales calls made. Expectancies are stated as probabilities and range from 0.0 to 1.0. In some situations, employees may believe that they can unquestionably accomplish the task ($p = 1.0$). In other situations, they expect that even their highest level of effort will not result in the desired performance level ($p = 0.0$). Normally, employee estimates of expectancy lie somewhere between the two extremes.

Instrumentality: Instrumentality represents the employee's belief that a specific performance level will lead to specific outcomes or rewards. This belief is stated as a probability ranging from 0.0 to 1.0. Thus if an employee sees that promotions are usually based on performance data, instrumentality will be rated high. However, if the basis for such decisions is unclear or managerial favouritism is suspected, a low instrumentality estimate will be made.

Valence: Valence refers to the strength of a person's preference for receiving a reward. It is the anticipated satisfaction or dissatisfaction that an individual feels toward an outcome. It ranges from positive to negative. Outcomes have a positive valence when they are consistent with our values and satisfy our needs; they have a negative valence when they oppose our values and inhibit need fulfillment. Valence for a reward is unique to each employee and is thus a reflection of individual differences. For example, if an individual has a strong need for social interaction, working alone from home will have a strong negative valence. On the other hand, if a person prefers solitary activities and has a high desire to excel, working away from home with opportunities for career advancement may have a strong positive valence.

Expectancy theory claims that motivation is a multiplicative function of all three components. This means that for an individual to be highly motivated, all three components of the expectancy model must be high. It also implies that if any one of these three components is zero, the overall level of motivation will be zero. So, for example, even if an employee believes that her effort will result in performance, which will result in reward, motivation will be zero if the valence of the reward she expects to receive is zero.

Porter and Lawler (1968) published an extension of the Vroom expectancy model, which is known as the Porter-Lawler expectancy model. The basic premise of the model is the same as Vroom's. But it extends the model by stating that motivation alone does not predict successful performance. It is a function of two other factors:

- 1) Skills and abilities – Motivation alone cannot ensure successful performance of a task. The employee should also have the abilities and skills required to successfully perform the task.
- 2) Role perceptions – The employee should have a clear perception of his role in the organisation and an accurate knowledge of the job requirements. This will enable him to focus his efforts on accomplishing the assigned tasks.

Thus although the basic premise of the model is the same as for Vroom's model, it is more complex.

Managerial implications of expectancy theory

The expectancy model is a valuable tool for helping managers design a motivational climate that will stimulate appropriate employee behaviour. It provides clear guidelines for increasing employee motivation by altering expectancies, instrumentalities and outcome valences. These are discussed below:

- 1) **Increasing effort-performance expectancies** – Effort-performance expectancies can be increased by training employees to do jobs more effectively, by providing sufficient time and resources, by giving supportive feedback and by following employees' suggestions about ways to change their jobs. Selecting people with required skills and knowledge, matching employees to jobs and communicating tasks required for the job are also an important part of this process.
- 2) **Increasing performance-outcome instrumentalities** – The most obvious way to improve outcome expectancies is to measure performance accurately and distribute more valued rewards to those with higher job performance. However, in addition to having a high performance-based reward system, companies need to regularly communicate the system through examples, anecdotes and public ceremonies, and clearly demonstrate the link between valued rewards and performance.
- 3) **Increasing outcome valences** – Performance outcomes influence work effort only when those outcomes are valued by employees. This implies that companies must develop individualised reward systems so that employees who perform well are offered a choice of rewards. Incentive systems that allow employees to choose from a menu of available alternatives like a pay raise, additional vacation days, improved insurance benefits or daycare facilities may serve to increase the satisfaction with the rewards that they receive. There are also performance outcomes that have negative valences that reduce the effectiveness of existing reward systems. For example, when there is peer pressure to perform at the minimum standard, formal rewards may not serve as motivators. Companies must therefore minimise the presence of such counter-valent outcomes.

Evaluation of expectancy theory

Expectancy theory remains one of the better theories for predicting work effort and motivation. It has been applied to a wide variety of studies, such as predicting student motivation to participate in teaching evaluations, using a decision support system, leaving the organisation and engaging in organisational citizenship behaviours. However, the theory seems to ignore the role of emotion in employee behaviour.

3.4.2 Equity Theory

Equity theory (Adams, 1963) suggests that individuals engage in social comparison by comparing their efforts and rewards with those of relevant others. The perception of individuals about the fairness of their rewards relative to others influences their level of motivation. Equity exists when individuals perceive that the ratio of efforts to rewards is the same for them as it is for others to whom they compare themselves. Inequity exists when individuals perceive that the ratio of efforts to rewards is different for them than it is for others to whom they compare themselves. There are two types of inequity—under-reward and over-reward. Under-reward occurs when a person believes that she puts in more effort than another, yet receives the same reward, or puts in the same effort as another for a lesser reward. For instance, if an employee works longer hours than her coworker, yet they receive the same salary, the employee would perceive inequity in the form of under-reward. Conversely, with over-reward, a person will feel that his efforts to rewards ratio is higher than another person's, such that he is getting more for putting in the same effort, or getting the same reward even with less effort.

The theory suggests that there are four possible referents for comparison:

- **Self-inside:** The employee compares his experiences in the present position with the experiences of those holding a similar position in the same organisation.
- **Self-outside:** The employee compares his experiences in the present position with the experiences of those holding a similar position in another organisation.
- **Other-inside:** The employee compares his experience in the present position with the experience of another individual or group of individuals holding a different position but belonging to the same organisation.
- **Other-outside:** The employee compares his experiences in the present position with that of another individual or group of individuals holding a different position and belonging to a different organisation.

Whatever be the source of referent comparison, individuals are motivated to reduce perceived inequity and may attempt to reduce inequity in various ways:

- **Change the inputs** – A person may change his or her level of effort; an employee who feels under-rewarded is likely to work less hard.
- **Change the outcomes** – A person may try to change his or her rewards, such as by asking for a raise or making unauthorised use of company resources.
- **Change the comparison other's inputs** – A person may change the behaviour of the reference person, perhaps by encouraging that person to put forth more effort.
- **Change the comparison other's outcomes** – A person may change the outcome of the reference person perhaps by asking the boss to stop giving favourable treatment to him/her.
- **Change the comparison other** – A person experiencing inequity may change the reference person and compare him or herself to a different person to assess equity.

- **Change one's perception** – A person may believe that the co-worker is doing more or that the higher outcomes that the other receives are no better than his/hers.
- **Leave the field** – A person may avoid thinking about the inequity by keeping away from the office, moving to another department or quitting the job.

While research suggests that under-reward motivates individuals to resolve the inequity, research also indicates that the same is not true for over-reward. Individuals who are over-rewarded often engage in cognitive dissonance, convincing themselves that their efforts and rewards are equal to another's. Evidence also reveals that some employees decrease their motivation and effort, others increase it and still other show no change in response to over-reward inequity. One approach to resolving these conflicting findings has involved understanding individual differences in equity sensitivity. Huseman, Hatfield, and Miles (1987) proposed that employees can be classified into one of three categories of equity preferences:

- Benevolent (preferring a lower outcome/input ratio than comparison others)
- Equity sensitive (preferring an equal outcome/input ratio to comparison others)
- Entitled (preferring a higher outcome/input ratio than comparison others)

Accordingly, under-reward inequity leads to higher motivation among benevolent employees than equity sensitive and entitled employees. While benevolent employees are willing to work hard even when they receive lower outcomes than others, equity sensitive and entitled employees find this distressing.

Managerial implications of equity theory

Equity theory has important implications for ways of motivating people. The three key one are discussed below:

- 1) **Avoiding underpayment** – Companies that attempt to save money by reducing employees' salaries may find that employees respond in different ways to settle scores. For example, they may steal, shave a few minutes off their work, or otherwise withhold production. In extreme cases, they may go on strike. Thus making people feel underpaid is an unwise decision and ineffective managerial practice.
- 2) **Avoiding overpayment** – Overpaying employees to motivate them is also an ineffective strategy mainly for two reasons: (a) Increases in performance in response to overpayment inequity is only temporary. As time goes on, people begin to believe that they actually deserve the higher pay they are getting and drop their level of work down to normal. (b) Overpaying one employee implies that other are being underpaid. When the majority of employees feel underpaid, they will lower their performance resulting in a net decrease in productivity and widespread dissatisfaction.
- 3) **Being open and honest with employees** – Openness and honesty about pay is critical because it helps employees understand the basis of their pay. This, in turn, leads to trust in their company, motivating them to put forth the effort required to excel.

Evaluation of equity theory

Equity theory has been widely studied and is quite successful in predicting various situations involving feelings of workplace injustice. However it has a few limitations. First, the theory doesn't identify the inputs or outcomes that are most valuable and the comparison other against which evaluation is made. Second, it assumes that people are individualistic, rational and selfish. However, people are social creatures who share goals with other members and commit themselves to the norms of the group. Third, the theory accounts for only distributive justice in the workplace. Experts now believe that procedural justice is equally important that has been overlooked in the theory.

4.4.3 Goal-Setting Theory

The goal-setting theory was developed primarily by Locke and Latham (1990). It posits that people will be motivated to the extent to which they accept specific, challenging goals and receive feedback that indicates their progress toward goal achievement. The basic components of goal-setting theory are:

- **Goal acceptance** – Effective goals need to be accepted by employees. Goals that are not personally accepted will have little capacity to guide behaviour. A powerful method of obtaining acceptance is to allow employees to participate in the goal-setting process. Communicating the purpose and necessity of the goal also ensures greater commitment to the goal.
- **Specificity** – Specific goals often involve clear, measurable quantitative targets for improvement in the behaviour of interest. Research indicates that specific performance goals are much more effective than those in which a person is told to “do your best.”
- **Challenge** – Challenging goals are difficult but not impossible to attain. They cause people to raise the intensity and persistence of their work effort and fulfill a person's achievement and self-actualisation needs when they are met. Empirical research supports the proposition that goals that are challenging are more motivational than goals that are relatively easy to achieve.
- **Feedback** – Feedback is any information that people receive about the consequences of their behaviour. It is central to goal-setting because it communicates what behaviours are appropriate or necessary in a particular situation. An effective feedback is specific, relevant, timely, credible and sufficiently frequent.

Goal-setting promotes superior performance by (1) increasing one's persistence of effort (2) regulating one's effort toward effective work behaviours (3) directing one's attention to the assigned roles and tasks, and (4) encouraging the development of goal attainment strategies or action plans.

Managerial implications of goal-setting theory

Goal setting theory implies that managers must assign specific, challenging goals; make sure workers truly accept organisational goals; and provide frequent, specific performance-related feedback. A systematic way of using goal-setting is with a management by objectives program. Management by objective (MBO) emphasises participatively set goals that are tangible, verifiable and measurable.

It emphasises four aspects: goal specificity, participation in decision-making, an explicit time period and performance feedback.

Evaluation of goal-setting theory

Goal-setting theory has been supported by research conducted over 40 years suggesting that it is a valuable source of insight into how goal-setting process works. However, there is evidence that goals have a more substantial effect on performance when tasks are simple, well-learned and independent. Also, the theory appears to be culture-bound. It is well adapted to Western nations because its key components align well with individualistic cultures.

Self Assessment Questions

- 1) Examine Vroom's expectancy theory. Discuss the managerial implications of the theory.

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- 2) What are the important propositions made by equity theory? Describe the notion of equity sensitivity that explains conflicting research findings on over-reward inequity.

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- 3) What are the major elements of goal-setting as a motivational tool? Evaluate its contribution to management practice.

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3.5 REINFORCEMENT THEORY

Reinforcement theory seeks to explain what types of consequences motivate different people to work. Traditionally, it can be traced to the work of the pioneering behaviourist B.F. Skinner (1953). It posits that behaviour depends on its consequences. Behaviour that is accompanied by favourable consequences is

likely to continue, while behaviour that is followed by unfavourable consequences is not likely to be repeated. Based on this principle, reinforcement theory describes four contingency methods of shaping behaviour:

- 1) **Positive reinforcement** – It occurs when behaviour is followed by a favourable consequence that encourages the repetition of that behaviour. For example, a supervisor may praise the employee for a job well done. In this case, praise serves as a positive reinforcer that strengthens high-quality work. Other common positive reinforcers are recognition, promotion, money, approval, fringe benefits etc.
- 2) **Negative reinforcement** – It occurs when behaviour is accompanied by the removal of an unfavourable consequence that results in strengthening of that behaviour. For example, an employee may work till late at the office to revise a sales presentation to prevent being rebuked by the boss next morning. In this example, rebuking serves as a negative reinforcer that encourages avoidance behaviour.
- 3) **Punishment** – It occurs when the administration of an unfavourable consequence discourages certain behaviour. Giving an employee a two-day suspension from work without pay for showing up drunk is an example of punishment.
- 4) **Extinction** – It occurs when the target behaviour decreases because no reinforcement follows it. For example, research suggests that when managers stop congratulating employees for their good performance, that performance tends to decline.

Schedules of Reinforcement

The effects of reinforcement depend heavily on the schedule according to which reinforcers are delivered. The two major types of reinforcement schedules are *continuous* and *intermittent*. A continuous reinforcement schedule reinforces the desired behaviour each and every time it is demonstrated. For example, to reinforce punctuality in an employee with a history of tardiness, the manager might compliment the employee whenever he is punctual.

With intermittent or partial reinforcement, on the other hand, not every instance of the desirable behaviour is reinforced, but reinforcement is given often enough to make the behaviour worth repeating. Intermittent partial schedules are distinguished by whether they are based on time (interval) or number of behavioural events (ratio), and whether that interval or ratio is fixed or variable. The two dimensions result in four classes of intermittent schedules:

- 1) **Fixed interval schedule** – Reinforcement is given after uniform time intervals. For example, being paid the salary on a monthly basis.
- 2) **Fixed ratio schedule** – Reinforcement is given after a fixed number of responses. For example, being paid on a piece work basis or being given a day off after serving a specific number of customers.
- 3) **Variable interval schedule** – Reinforcement is given after varying time intervals. For example, randomly timed unannounced visits to a company office by the audit staff or getting promotions after undefined time intervals.

- 4) **Variable ratio schedule** – Reinforcement is given after a varying (unpredictable) number of responses. For example, making a variable number of calls to a potential customer for securing a sale.

Continuous reinforcement produces rapid learning for newly emitted, unstable or low-frequency responses. However, continuously reinforced responses extinguish more rapidly because the shift to no reinforcement is sudden and easier to perceive. Intermittent reinforcement, on the other hand, produces behaviour that is learned more slowly but is more resistant to extinction. It is therefore more appropriate for stable or high-frequency responses. Further, among the intermittent schedules, the variable ones tend to lead to higher performance and produce a rapid rate of responding than fixed schedules. Variable schedules are also more resistant to extinction. Thus the best way to promote fast learning and high resistance to extinction is to begin reinforcing a desired behaviour on a continuous schedule until the behaviour is well established and then shift to a variable intermittent schedule that is gradually made more demanding.

Managerial implications of reinforcement theory

Reinforcement concepts have been applied in the managerial setting using organisational behaviour modification (OB Mod). The typical OB Mod program follows a five-step problem-solving model:

- 1) **Identify critical behaviours** – Everything that an employee does is not equally important in terms of performance outcomes. It is therefore important to identify critical behaviours that make a significant impact on the employee's job performance.
- 2) **Develop baseline data** – It requires that the manager determines the number of times the identified behaviour is occurring under present conditions.
- 3) **Identify behavioural consequences** – It involves performing a functional analysis to identify the behavioural contingencies or consequences of performance. It tells the manager the antecedent cues that emit the behaviour and the consequences that are currently maintaining it.
- 4) **Develop and implement an intervention strategy** – It involves implementing an appropriate intervention strategy that will entail changing some elements of performance-reward linkage with the goal of making high-level performance more rewarding.
- 5) **Evaluate performance improvement** – It requires that the observed behavioural change be evaluated to ensure that learning had taken place.

A number of organisations have used OB Mod to improve employee productivity; to reduce errors, absenteeism, tardiness and accident rates; and to improve friendliness toward customers.

Evaluation of reinforcement theory

Although the effectiveness of reinforcements in the form of rewards and punishments has a lot of support in the literature, the theory has been criticized for overlooking thoughts and feelings that are evoked by environmental stimuli. The theory assumes that it is not necessary to study needs or cognitive processes to understand motivation, but that it is only necessary to examine the consequences

of behaviour. However, increasing research on cognitive processes has challenged this basic assumption of the theory.

Self Assessment Questions

- 1) Quoting suitable examples, describe the various contingency procedures used to shape behaviour.

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- 2) What are the various schedules of reinforcement? Describe the effectiveness of the schedules in shaping behaviour.

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- 3) What are the implications of reinforcement theory for management practice?

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3.6 LET US SUM UP

There are several popular approaches to the study of work motivation. Content theories given by Maslow, Alderfer, Herzberg and McClelland attempt to identify specific content factors in the individual or in the job environment that motivate employees. Although such a content approach is easy to understand and can be readily translated into practice, there is very little research support for these models' theoretical basis and predictability. However, the job characteristic model is supported by some research and represents an extension of the content theories to the job design approach.

The process theories provide a much sounder theoretical explanation of work motivation. Vroom's expectancy model explains the important cognitive variables and how they relate to one another in the complex process of work motivation. Equity theory explains how people respond when they are inequitably treated.

Goal setting theory describes the process of motivating employees by the establishment of performance objectives and clarification of role perceptions.

Reinforcement theory highlights the consequences of one's actions and how these consequences influence motivated behaviour in future. Several types of procedures are described that can be delivered according to varying schedules. Together, the three sets of theories contribute much to the understanding of the complex process of work motivation. The theories also suggest applied principles to be used in management settings for motivating employees and improving performance effectiveness.

3.7 UNIT END QUESTIONS

- 1) Describe the three major categories of motivation theories.
- 2) Explain Maslow's theory of motivation. Compare it with Alderfer's ERG model and Herzberg's two-factor theory.
- 3) Discuss the motivators and hygiene factors in Herzberg's two-factor theory. How has the theory contributed to the understanding of motivation in the workplace?
- 4) Describe the three-need classification given by McClelland.
- 5) Present the job characteristic model. What is MPS?
- 6) Explain the three variables in Vroom's expectancy model. Highlight some of the important implications of the theory for management practice.
- 7) Discuss equity theory. Present the critical examination of the theory.
- 8) What is goal-setting theory? How does it contribute to the understanding of work motivation?
- 9) Describe reinforcement theory. Present the types and schedules of reinforcement.

3.8 GLOSSARY

- Self-actualisation** : Highest need category in Maslow's need hierarchy that concerns developing one's full potential, increasing one's competence, and becoming a better person.
- Need for achievement** : A learned need in which people want to accomplish reasonably challenging goals and desire unambiguous feedback and recognition for their success.
- Need for affiliation** : A learned need in which people seek approval from others, conform to their wishes and expectations, and avoid conflict and confrontation.
- Need for power** : A learned need in which people want to control their environment, including people and material resources, to benefit either themselves (personalised power) or others (socialised power).

Skill variety	: The extent to which employees must use different skills and talents to perform tasks within their job.
Task identity	: The degree to which a job requires completion of a whole or identifiable piece of work.
Task significance	: The degree to which one's job has a substantial impact on the organisation and/or larger society.
Autonomy	: The degree to which a job gives employees the freedom, independence, and discretion to schedule their work and determine the procedures used in completing it.
Feedback	: Information that people receive about the consequences of their behaviour.
Expectancy	: The individual's belief that work-related effort will result in a given level of performance.
Instrumentality	: The individual's belief that a specific performance level will lead to specific outcomes or rewards.
Valence	: The anticipated satisfaction or dissatisfaction that an individual feels toward an outcome.
Self-efficacy	: The individual's belief that he or she can successfully complete a particular task.

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UNIT 4 ORGANISATIONAL COMMITMENT

Structure

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- 4.1 Objectives
- 4.2 Commitment and Related Aspects
- 4.3 Nature of Organisational Commitment
 - 4.3.1 Defining Organisational Commitment
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4.0 INTRODUCTION

Organisational commitment has received significant attention in the studies of workplace. This is due to the general recognition that this variable can be the major determinant of organisational performance and effectiveness. When employees are dissatisfied at work, they are less committed and will look for other opportunities to quit. If opportunities are unavailable, they may emotionally or mentally withdraw from the organisation. Thus, organisational commitment is an important attitude in assessing employees' overall contribution to the organisation.

This unit is devoted to the understanding of the nature, determinants, and consequences of organisational commitment. Various means of securing organisational commitment are also highlighted in this unit.

4.1 OBJECTIVES

After reading this unit, you will be able to:

- Define organisational commitment and its component types.
- Explain the difference between organisational commitment and job satisfaction.
- Give an account of the determinants of organisational commitment.
- Understand the consequences of organisational commitment.
- Present ways of promoting organisational commitment.

4.2 COMMITMENT AND RELATED ASPECTS

In a broad sense of the word, “commitment” can be defined as an obligation, agreement, or pledge to someone or something in the future. One can be committed to a friend, romantic partner, team, school, job or, as is the focus of this unit, to one’s organisation. Understanding what commitment is, what leads to a sense of commitment, and what those committed feelings can predict, has been of great interest to both researchers and employers over the last several decades. Recognising the ways in which employers can foster a sense of commitment among their employees, and knowing what the behavioural results of that commitment will be, can create a more efficient and productive workplace.

Worker commitment has been defined and measured in over twenty five ways (Morrow & McElroy, 1986). Some researchers, such as Blau (1989), have looked at career commitment, measuring an employee’s commitment to the specific occupation, with items that look like, “this is the ideal profession for a life’s work.” Becker, Billings, Eveleth and Gilbert (1996) have examined and measured an employee’s commitment to his/her supervisor within the organisation. Other types of work commitment that have been measured include job attachment, career salience, organisational commitment, work ethics, as well as numerous others. With such an abundance of constructs, Morrow (1983) suggested that there was much redundancy among the many models. Rather, she proposed five predominant types of work commitment – the intrinsic *value* of one’s work, commitment to one’s *career* or profession, commitment to one’s particular daily *job*, an employee’s commitment to his/her *organisation*, and commitment to one’s *union*.

Among these models, organisational commitment has received significant attention. Unlike scales measuring, for example, an employee’s commitment to a particular supervisor, which is relatively narrow in focus, organisational commitment is a broad construct. Additionally, unlike several of the other forms of commitment that have been measured, such as career commitment, which focuses more on individual differences, organisational commitment is centered on behavioural outcomes. For these reasons, commitment to one’s organisation has been a popular subject of research over the past several decades. It offers insight into the psychological bases of commitment, while also providing valuable knowledge about worker behaviour to employers.

4.3 NATURE OF ORGANISATIONAL COMMITMENT

As discussed in the previous section, organisational commitment is of considerable interest to organisational psychologists because of two primary reasons:

- 1) It is a broad attitudinal construct. It is theory-based, holds significant integrative potential, and is more manageable than other forms of organisational attitudes.
- 2) It is significantly related to favourable organisational outcomes. At the individual level of analysis, commitment predicts important employee

behaviours such as staff turnover, absenteeism, organisational citizenship or extra-role behaviours, and performance (Allen & Meyer, 1996; Mathieu & Zajac, 1990; Steers, 1977). Furthermore, when aggregated to the organisational subunit level, high levels of commitment are associated with elevated levels of customer satisfaction and sales achievement (e.g., Gelade & Young, 2005).

4.3.1 Defining Organisational Commitment

Organisational commitment is defined as an individual's feelings about the organisation as a whole. It is the psychological bond that an employee has with an organisation and has been found to be related to goal and value congruence, behavioural investments in the organisation, and allegiance to the organisation.

Over the years, two basic approaches have been used to study organisational commitment: attitudinal (Allen & Meyer, 1990; Mowday, Steers & Porter, 1979) and behavioural (Becker, 1960). In the attitudinal approach, organisational commitment is viewed as a positive individual orientation toward the organisation. It is defined as "an affective attachment to the goals and values of the organisation, and to the organisation for its own sake, apart from its purely instrumental worth" (Buchanan, 1974). According to Porter et al. (1974) organisational commitment is the relative strength of an individual's identification with and involvement in a particular organisation. According to Mowday, Steers and Porter (1979), organisational commitment represents a state in which an individual identifies with a particular organisation and its goals and wishes to maintain membership in order to facilitate these goals. These authors describe three components of commitment:

- 1) A strong belief in and acceptance of the organisation's goals and values.
- 2) A willingness to exert considerable effort on behalf of the organisation.
- 3) A strong desire to maintain membership in the organisation.

The commitment-related behaviour approach focuses on a behavioural pattern guided by internalised normative pressures to act in ways that meet organisational goals and interest (Wiener, 1982). Wiener and Gechman (1977) argued that the pattern of behaviour resulting from commitment should possess the following characteristics: (1) it should reflect personal sacrifices made for the sake of the organisation; (2) it should show persistence – that is, the behaviours should not depend primarily on environmental controls such as reinforcements or punishment, and (3) it should indicate a personal preoccupation with the organisation, such as devoting a great deal of personal time to organisation-related actions and thoughts. Thus according to the behaviourists, organisational commitment is demonstrated by "overt manifestations of commitment" (Mowday, Steers, & Porter, 1979) to the organisation such as extra-role behaviours that link employees to their respective institution.

In essence, organisational commitment can be viewed as follows:

- 1) Willingness of an individual to identify with and the desire not to leave an organisation for selfish interest or marginal gains;
- 2) Desire to contribute to the effectiveness of an organisation;

- 3) Willingness to make personal sacrifice, to perform beyond normal expectations and to endure difficult times with an organisation;
- 4) Belief in and acceptance of organisation's values and goals.

4.3.2 Components of Organisational Commitment

O'Reilly and Chatman (1986) conceptualised organisational commitment as a psychological attachment and developed a model in which three dimensions of organisational commitment were described: internalisation, identification, and compliance. *Internalisation* measures the extent to which the employee feels they share the same mission and values as the organisation. *Identification* describes the employee's desire to affiliate with their organisation without accepting the organisation's values as his/her own. *Compliance* describes an employee who accepts the organisation's values for his/her own personal gain, but does not internalise or hold any of those same values. Although this model represents the first attempt to understand the multi-dimensional nature of organisational commitment, it is not very popular.

The model of organisational commitment proposed by Meyer and Allen (1991) is the most popular and comprehensively validated multidimensional model. Three components are contained in Meyer and Allen's (1991) organisational commitment model: affective, continuance, and normative. Affective commitment is a feeling of emotional attachment demonstrated in the statement, "I work here because the people are great and the work is fun." Continuance commitment is a feeling that the costs of leaving are too high or it is too much trouble to go somewhere else. For example, "I'd leave if I knew I could get another job that paid as much." Normative commitment is a feeling of obligation. For example, "I work here because they hired me when I needed a job so I owe it to them." The three components are now described in greater detail.

Affective commitment refers to the employees' perceptions of their emotional attachment to or identification and involvement with their organisation and its goals. It results from and is induced by an individual and organisational value congruency. As a result, it becomes almost natural for the individual to become emotionally attached to and enjoy continuing membership in the organisation (O'Reilly & Chatman, 1986, Meyer & Allen, 1984). Steers (1977) identified factors which help create intrinsically rewarding situations for employees to be antecedents of affective commitment. These factors include such job characteristics as task significance, autonomy, identity, skills variety and feedback concerning employee job performance, perceived organisational support or dependence (the feeling that the organisation considers what is in the best interest of employees when making decisions that affect employment conditions and work environment), and the degree that employees are involved in the goal-setting and decision-making processes.

Continuance commitment refers to employees' perceptions of the costs associated with leaving the organisation. It is the willingness to remain in an organisation because of personal nontransferable investments in the form of close working relationships with coworkers, retirement investments and career investments, acquired job skills which are unique to a particular organisation, years of employment in a particular organisation, involvement in the community in which the employer is located, and other benefits that make it too costly for

one to leave and seek employment elsewhere. Meyer and Allen (1974) explain that if employees share continuance commitment with the employer, it makes it very difficult for them to leave the organisation.

Normative commitment refers to employees' perceptions of their obligation to their organisation. Such a feeling of obligation often results from what Wiener (1982) characterised as "generalised value of loyalty and duty." This is an almost natural predisposition to be loyal and committed to institutions such as family, marriage, country, religion and employment organisation as a result of socialisation in a culture that places a premium on loyalty and devotion to institutions. This view of commitment holds that an individual demonstrates commitment behaviour solely because she or he believes it is the moral and right thing to do. This feeling of moral obligation is measured by the extent to which a person feels that he or she should be loyal to his or her organisation, make personal sacrifice to help it out and not criticize it.

Meyer, Allen, & Smith (1993) say that the three types of commitment are a psychological state "that either characterises the employee's relationship with the organisation or has the implications to affect whether the employee will continue with the organisation". Meyer et al. (1993) further state that employees with a strong affective commitment will remain with an organisation because they want to, those with a strong continuance commitment remain because they have to, and those with a normative commitment remain because they feel that they ought to. Meyer & Allen (1997) define a committed employee as being one who "stays with an organisation, attends work regularly, puts in a full day and more, protects corporate assets, and believes in the organisational goals". This employee positively contributes to the organisation because of its commitment to the organisation.

In arguing for their framework, Meyer & Allen (1991) contended that affective, continuance, and normative commitment were components rather than types because employees could have varying degrees of all three. For example, one employee might feel both a strong attachment to an organisation and a sense of obligation to remain. A second employee might enjoy working for the organisation but also recognise that leaving would be very difficult from an economic standpoint. Finally, a third employee might experience a considerable degree of desire, need, and obligation to remain with the current employer (Meyer & Allen, 1997). Even though the authors present this argument, they stress that these three classifications of commitment are conceptually and empirically separable. In support of the three-pronged classification, researchers have clarified the unique antecedents and outcomes related to each type. Reliable measures of the three types of commitment have also been developed and validated.

4.3.3 Organisational Commitment and Job Satisfaction

Differences between commitment and job satisfaction are seen in several ways:

- 1) Job satisfaction is a response to a specific job or facet of the job while commitment is more of a global response to an organisation. Job satisfaction can thus be viewed as a micro work attitude while organisational commitment is more macro in its orientation of the individual to the organisation.

- 2) Job satisfaction implies an affective response to one's job as opposed to organisational commitment that refers to the strength of employee identification to the entire organisation. Therefore, organisational commitment tends to be more consistent than job satisfaction over time. Although day-to-day events in the workplace may affect an employee's level of job satisfaction, such transitory events do not significantly alter his or her attachment to the overall organisation (Mowday et al., 1982).
- 3) Job satisfaction reflects immediate affective reactions to the job and job facets (Locke, 1976). Thus, it forms soon after organisational entry. On the other hand, due to its macro orientation, organisational commitment is thought to develop more slowly, and after the individual possesses a firm understanding of not only the job and job facets but also of organisational goals and values, performance expectations and their consequences, and the implications of maintaining membership in the organisation (Mowday et al., 1982). Consequently, commitment is seen as forming and stabilising sometime after organisational entry.
- 4) Job satisfaction and organisational commitment differ in the ways they contribute to work behaviours, especially turnover. Job satisfaction tends to be correlated with turnover intention, whereas organisational commitment shows stronger correlation with actual turnover.

4.4 ANTECEDENTS OF ORGANISATIONAL COMMITMENT

Organisational commitment is related to three antecedent categories: personal variables, work situation and organisational characteristics, and work experiences. Age, gender, organisational tenure, educational level, and personal attributes are examples of personal variables. Job and role characteristics contain career mobility, job challenge, job level, role conflict, role ambiguity, level of autonomy and working hours. Finally, social involvement, personal importance and formalisation are structural factors.

4.4.1 Personal Characteristics

Research has shown that commitment is related to personal characteristics such as age, length of service in a particular organisation, gender, marital status, employee's level of education and personality attributes.

Age and Tenure: Research shows age and tenure to be positively correlated with commitment. According to Meyer and Allen (1997), as people get older and remain in their organisations, they may develop an emotional attachment with the organisation that makes it difficult to switch jobs. It may also be because older workers or those with longer organisational tenure accumulate more "side bets," such as pension plans and other benefits (Meyer & Allen, 1984) that make them more committed to stay with the organisation. Older people are also more likely to be committed probably because alternative employment opportunities diminish for them or because commitment may be a successful strategy in getting along. Meyer and Allen (1997) also suggest that the results of a positive relationship between tenure and organisational commitment might be a simple reflection of the fact that uncommitted employees leave an organisation, and only those with a high commitment remain.

Gender: Earlier research reported that women were more committed than men (Mathieu & Zajac, 1990). More recent studies, however, found no relationship between gender and organisational commitment (Van der Velde, Bossink, & Jansen, 2003).

Marital Status: Marital status has emerged as a consistent predictor of organisational commitment. Findings reported by Hrebiniak and Alutto (1972), John and Taylor (1999), and Tsui, Leung, Cheung, Mok, and Ho (1994) indicate that married people were more committed to their organisation than unmarried people. Married people have greater financial burdens and family responsibilities and need more stability and security in their jobs. Therefore, they are likely to be more committed to their current organisation than their unmarried counterparts.

Education: Level of education has been found to have a negative relationship with organisational commitment (Steers, 1977). Higher education is associated with lower commitment, perhaps because educated people have expectations the organisation cannot meet or are more committed to professions (their occupational community) than to organisations. It may also be that alternative work opportunities are greater for people with higher education. People with low levels of education, on the other hand, generally have more difficulty changing jobs and therefore show a greater commitment to their organisations.

Personal attributes: Several personal attributes are related to commitment, among them are work-oriented life interests, achievement motivation, and a sense of competence. These kinds of relationships support the notion of exchange between the employee and his organisation.

4.4.2 Work Situation and Organisational Characteristics

Commitment has been found to be related to such work characteristics as task autonomy, feedback and job challenge, promotion opportunities, training and mentoring opportunities, and supportive and considerate leadership. Finally, research studies have revealed that commitment is influenced by perceptions of organisational justice.

Job and role characteristics: Concerning job and role characteristics, both career mobility (Bhagat & Chassie, 1981) and job challenge (Kirchmeyer, 1995) are found to be positively correlated with organisational commitment. Further, role conflict, role overload and role ambiguity have a negative correlation with organisational commitment (e.g. Mayer and Schoorman, 1998). The level of autonomy in the work place is found to be very important as autonomy is significantly positively related to organisational commitment (e.g. Hall et al., 1970). Thus organisations have a greater chance of retaining their employees if they offer them interesting, challenging, unambiguous, and clearly-defined jobs and those that give them a sense of accomplishment.

Promotion Opportunities: Policies and practices concerning the movement of employees, particularly upward movement, once they are in the organisation tend to affect their commitment. For example, Gaertner and Nollen (1989) found that commitment was greater among employees who had been promoted and that it was also positively related to employees' perceptions that the company had a policy of promoting from within. Such a policy might be perceived by employees as evidence of organisational support, which in turn instills a greater commitment to the organisation.

Training Opportunities: Although commitment might not be the intended or at least the most obvious objective of training, it can nevertheless be influenced in the process. The provision of training and development sends a message to the employees that the organisation cares about them and supports them, and this is likely to lead to increased organisation commitment. Several studies have shown that training and education activities not only develop and improve employees' skills and abilities, but also enhance their commitment to the organisation (Bartlett, 2001). Bartlett's (2001) study of nurses in public U.S. hospitals demonstrated that employee attitudes toward training, such as perceived access to training, social support for training, motivation to learn, and perceived benefits of training were highly associated with organisational commitment. Meyer and Allen (1997) concluded that commitment can be impacted by training experience and affect employees' motivation for future training.

Job Security: Research studies have found job security to be positively related to organisational commitment (Yousef, 1998). The existence of job security is likely to bolster employees' perceptions of organisational support which would help to foster organisational commitment. Thus, there is a positive relationship between job security and organisation commitment.

Leadership behaviours: DeCotiis & Summers (1987) found that when employees were treated with consideration, they displayed greater levels of commitment. Bycio, Hackett, & Allen (1995) reported positive correlations between the leadership behaviours of charisma, intellectual stimulation, individualised consideration, and contingent reward and affective, continuance, and normative commitment.

Organisational justice: There are two important dimensions of organisational justice: procedural justice and distributive justice. Distributive justice refers to the perceived fairness of the amounts of compensation employees receive, whereas procedural justice refers to the perceived fairness of the means used to determine those amounts (Folger & Konovsky, 1989). Research indicates that both distributive justice and procedural justice are related to organisational commitment (McFarlin & Sweeney, 1992). Although both dimensions of organisational justice are important and have been linked to commitment, research evidence suggests that procedural justice is a better predictor of employee commitment to the organisation than distributive justice. Distributive justice, however, is a better predictor of personal outcomes such as pay satisfaction. One reason for this could be that use of fair procedures in decision making provides evidence of a genuine caring and concern on the part of the organisation for the well being of employees (Lind & Tyler, 1988). This in turn motivates the employees to continue their association with their current organisation.

Organisational support: Perceived organisational support is defined as "the extent to which employees perceive that the organisation values their contribution and cares about their wellbeing" (Eisenberger, Fasolo, & Davis-LaMastro, 1990). Researchers have discovered a positive relationship between perceived organisational support and affective organisational commitment (Meyer & Allen, 1997). Employees exchange commitment to the organisation for greater care, concern, and support from the organisation.

Organisational culture: Recent studies point to the importance of organisational culture in predicting organisational commitment. Organisational culture refers to a complex pattern of assumptions, beliefs and values that guide the behaviour of individuals in organisations (Schein, 1996). Lok and Crawford (2001) found that innovative organisational culture, characterised by a willingness to experiment and innovate was a strong predictor of organisational commitment. Hatton et al. (1999) indicated that greater employee commitment was associated with cultures that were more tolerant, staff-oriented, achievement oriented, innovative, and rewarding. Furthermore, organisational cultures that foster staff empowerment and trust in management have been linked to higher organisational commitment (Laschinger et al., 2001). It is reasoned that organisational culture influences employees' sense of engagement, identification and belonging and such sentiments seem to have an impact on commitment.

Working Conditions: Good working conditions such as clean, attractive surroundings enable employees to perform their work smoothly and thus are likely to have a positive impact on organisational commitment. Research by Painter and Akroyd (1998) found that the general working conditions were significantly related to organisational commitment.

Type of work sector: Research has found that government employees have higher levels of continuance commitment than other sectors (Perry, 1997; Meyer & Allen, 1997). This is due to the antecedents of public service motivation. Because public sector employees in the past have high levels of commitment to the organisation and its goals because it is argued that they are a different type of employee, with strong ethics as well as job security (Perry, 1997). Lio (1995) states "facing today's difficult times, many public employees appreciate the relatively secure job situation associated with public employment and consider it a major reason for their organisational commitment".

4.4.3 Work Experiences

The extent of job involvement, level of job satisfaction and the degree of trust are some of the important work experiences that influence an employee's commitment to his/her organisation.

Job Involvement: Job involvement concerns an individual's ego involvement with the job—that is, the degree to which an individual's self esteem is affected by his/her work performance (Lodahl & Kejner, 1965). Several studies have revealed a significant positive relationship between organisational commitment and job involvement. One explanation for this could be that for employees with a high level of job involvement, the job is important to one's self image. These high-involvement employees identify with, and care about, their jobs and are thus less likely to quit their jobs.

Job satisfaction: Although there is certainly a chicken-and-egg debate over issues regarding the relationship between job satisfaction and organisational commitment, several researchers have made the case that job satisfaction is a predictor of organisational commitment (Porter, Steers, Mowday, & Boulian, 1974).

Trust: Trust refers to the person's degree of confidence in the words and actions of another. Trust in organisational authorities has been shown to influence a

variety of subordinate's work attitudes and behaviour (Brockner et al., 1997). When trust levels are high, employees are supportive of, or committed to, authorities and the institutions that the authorities represent. Brockner et al. (1997) report that trust has a positive effect on employee commitment. In a similar vein, Dirks and Ferrin's (2002) research findings demonstrate a substantial relationship between trust in leadership and organisation commitment.

Self Assessment Questions

- 1) Examine the personal characteristics that influence organisational commitment.

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- 2) Discuss the role of promotional and training opportunities in determining employee commitment.

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- 3) Examine organisational culture as an antecedent to organisational commitment.

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- 4) How do employee perceptions of organisational justice influence their commitment?

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- 5) Discuss the ways in which work experiences affect organisational commitment.

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4.5 CONSEQUENCES OF ORGANISATIONAL COMMITMENT

In general, organisational commitment is considered a useful measure of organisational effectiveness (Steers, 1977). In particular, “organisational commitment is a “multidimensional construct” (Morrow, 1993) that has the potential to predict organisational outcomes such as performance, turnover, absenteeism, tenure, and organisational goals” (Meyer & Allen, 1997).

Meta analyses indicate that commitment is negatively related to turnover (Cooper-Hakim & Viswesvaran, 2005), absenteeism (Farrell & Stamm, 1988), and counterproductive behaviour (Dalal, 2005) and positively related to job satisfaction (Cooper-Hakim & Viswesvaran, 2005), motivation (Mathieu & Zajac, 1990), and organisational citizenship behaviours (Riketta, 2002). Moreover, research studies have provided evidence of a positive correlation between organisational commitment and job performance (e.g., Meyer, Paunonen, Gellatly, Goffin, & Jackson, 1989). Low commitment has also been associated with low levels of morale (DeCottis & Summers, 1987) and decreased measures of altruism and compliance (Schappe, 1998). Finally, non-committed employees may describe the organisation in negative terms to outsiders thereby inhibiting the organisation’s ability to recruit high-quality employees (Mowday, Porter, & Steers, 1982). These findings have important implications for both organisation theory and the practice of management.

In general, affective commitment seems more strongly related to organisational outcomes such as performance and turnover than the other two commitment dimensions. One study found that affective commitment was a significant predictor of various outcomes (perceptions of task characteristics, career satisfaction and intention to leave) in 72% of the cases, compared with only 36% in normative commitment and 7% for continuance commitment. Research further suggests that employees with high levels of continuance commitment have lower performance ratings and less likely to engage in organisational citizenship behaviours. Furthermore, unionised employees with high continuance commitment are more likely to use formal grievances, whereas employees with high affective commitment engage in more constructive problem solving when employee-employer relations turn sour.

However, it is important to note that too much of affective commitment can also have negative consequences for an organisation. One concern is the organisational loyalty reduces turnover, which may limit the organisation’s opportunity to hire new employees with different knowledge and fresh perspectives. Another concern is that loyalty results in conformity, which can undermine creativity and ethical conduct.

4.6 BUILDING ORGANISATIONAL COMMITMENT

Increasing employees’ organisational commitment is a major challenge in today’s world primarily because there is an intense competition among organisations in recruiting and retaining a highly skilled workforce. There have also been drastic changes in the labour market since the past two decades, including increased globalisation, frequent mergers, and organisational restructuring that are

contributing to employee job insecurity and the rapid growth of a temporary workforce. Further, to cope with the uncertainty of the labour market, employees are devoting more attention to aspects of their lives outside of their organisations in which they believe that they have more control. For all of these reasons, strengthening employees' organisational commitment is increasingly becoming difficult. Nonetheless, there are ways in which organisational commitment can be promoted that are discussed below:

Justice and support – Affective commitment is higher in organisations that fulfill their obligations to employees and abide by humanitarian values such as fairness, courtesy, forgiveness, and moral integrity. When organisations have a comprehensive grievance procedure and provide for extensive two-way communications, they tend to foster commitment among its employees. Thus employers that support employee well-being tend to cultivate higher levels of loyalty in return.

Shared interests – Commitment tends to be higher in organisations that align their interests with those of their employees. Many companies introduce profit-sharing plans – that is, incentive plans in which employees receive bonuses in proportion to the company's profitability. Such plans are often quite effective in enhancing organisational commitment, especially when they are perceived to be administered fairly. By letting employees share in the company's profitability, they are more likely to see their own interest as consistent with those of their company. And when these interests are aligned, commitment tends to be high.

Trust – Trust refers to positive expectations one person has toward another in situations involving risk. Trust means putting faith in the other person or group. It is also a reciprocal activity: to receive trust, one must demonstrate trust. Employees identify with and feel obliged to work for an organisation only when they trust its leaders. This explains why layoffs are one of the greatest blows to employee loyalty – by reducing job security, companies reduce the trust employees have in their employers and the employment relationship.

Organisational comprehension – Commitment is strengthened when employees understand the company, including its past, present and future. Thus loyalty tends to increase with open and rapid communication to and from corporate leaders, as well as with opportunities to interact with co-workers across the organisation.

Employee involvement – Employee involvement increases affective commitment by strengthening the employee's social identity with the organisation. Employees feel that they are part of the organisation when they take part in decisions that guide the organisation's future. They also feel involved when they get to perform a wide variety of tasks and enjoy considerable autonomy in doing them. Therefore programs designed to provide job challenge, enrichment and empowerment helps to increase employee commitment to the organisation.

Training and development – Training and development of employees not only helps them grow and sharpen their skills, it also ensures employees' commitment and retains the best talent in the organisation. Thus programs designed to develop cross-functional skills and to facilitate mobility within the organisation, foster employees' bond with the organisation by reinforcing the organisation's concern with the development of the individual.

Self Assessment Questions

- 1) Describe the consequences of organisational commitment.
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- 2) Discuss the ways of building employee commitment to the organisation.
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4.7 LET US SUM UP

Organisational commitment is an important attitudinal variable in organisational research and applied settings. It is believed to be a multi-dimensional construct with affective, continuance and normative components. There are several factors that influence employees' organisational commitment including personal variables, work situation and organisational factors, and work experiences. Organisational commitment is an important attitude as it influences important outcomes both for the employee and the organisation.

4.8 UNIT END QUESTIONS

- 1) Describe the significance of organisational commitment as an organisational variable.
- 2) Explain the meaning of organisational commitment. Describe the components of commitment using Meyer & Allen's multidimensional model.
- 3) Distinguish between organisational commitment and job satisfaction.
- 4) Examine the personal characteristics that influence an employee's commitment to his/her organisation.
- 5) Describe the work situation and organisational factors that have an impact on organisational commitment.
- 6) Give an account of the outcomes of organisational commitment.
- 7) What steps can an organisation take to ensure that employees stay committed to them?

4.9 GLOSSARY

Organisational commitment	: The psychological bond that an employee has with an organisation that has been found to be related to goal and value congruence, behavioural investments in the organisation, and allegiance to the organisation.
Affective commitment	: Employees' perceptions of their emotional attachment to or identification and involvement with their organisation and its goals.
Continuance commitment	: Employees' perceptions of the costs associated with leaving the organisation.
Normative commitment	: Employees' perceptions of their obligation to their organisation.
Job satisfaction	: Affective response to one's job.
Distributive justice	: Perceived fairness of the amounts of compensation employees receive.
Procedural justice	: Perceived fairness of the means used to determine the amounts of compensation employees receive.
Organisational support	: Extent to which employees perceive that the organisation values their contribution and cares about their wellbeing.
Organisational culture	: Complex pattern of assumptions, beliefs and values that guide the behaviour of individuals in organisations.
Trust	: Positive expectations one person has toward another in situations involving risk.
Profit-sharing plans	: Incentive plans in which employees receive bonuses in proportion to the company's profitability.

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